

June 5, 2026 10:04 AM GMT

Investor Presentation | Japan

Japan Equity Strategy: Prepare for the Great Growth Moment

Key Takeaways

- Prepare for the Great Growth Moment: If accelerating AI investment is accompanied by interest-rate stability underpinned by Japan's fiscal credibility, growth stocks are likely to regain leadership.
- Continued AI rally remains our base case: Since Liberation Day in April 2025, the effectiveness of a strategy that sells expensive AI-related stocks and buys cheaper AI-related stocks has increased.
- Managing the risk of an AI-rally reversal is equally important: We believe puts on stocks that have been bid up on AI narratives but lack fundamental earnings support represent one of the more effective risk-management tools in the current environment.
- Governance reform: With June shareholder meetings and the July revision to the Corporate Governance Code approaching, investors should be cautious about indiscriminately shorting governance-related stocks.
- Sector preferences: We favor upstream B2B sectors within the supply chain. While banks appear to be attracting greater interest as beneficiaries of higher interest rates and as one of the few uncrowded trades remaining, we maintain our equalweight stance on the banking sector.

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4 reasons we are bullish on Japan equities

Structural drivers underpinning the long-term Japan equity bull market we have long argued for are strengthening further



Sustained, stable inflation

Japan is shifting to a phase where inflation moves toward the 2% target as the output gap gradually narrows. This shift opens a path to sustainable growth, wage gains, more flexible pricing, stronger capex, and higher productivity.



Expectation of long Takaichi tenure / faster growth strategy incl. national security

The LDP led by PM Takaichi won 316 Lower House seats, a landslide with a solo >2/3 supermajority. Via (1) higher policy predictability, (2) faster decision-making, and (3) higher execution certainty of growth strategy, this is likely positive for both mid-term earnings outlook and the risk premium demanded by capital markets.



Progress in corporate governance reform

After reforms triggered by the TSE market restructuring in Apr 2022, Prime market PBR is up c.40%. In 2026, we expect a CG Code revision (around Jun) is to push better use of corporate cash. Faster reform should lift ROE and support Japan equities via PBR/PER expansion.



Rising household Japan equity investment via NISA

With sustained, stable inflation, balance-sheet management is being reassessed not only by corporates but also households. NISA supports this trend. From Jan 2027, a "Kids NISA" is planned, allowing under-18s to invest up to JPY 600k/year. (JPY 6mn total) tax-free via tsumitate.

Source: Morgan Stanley Research

The Summit Lies Ahead: MS TOPIX target (end-Jun 2027) 4,300pt

Morgan Stanley base-case forecast

An energy supply shock from Middle East tensions modestly drags global growth in 2026, then recovery in 2027. AI underpins demand.

- US: AI-led capex drives growth, while higher energy prices curb consumption. Fed on hold through 2026; expect 50bp cuts in early 2027.
- Japan faces stagflation-like headwinds (slower growth + higher inflation), but underlying fundamentals remain solid.
- China: resilient on export-led growth; domestic demand is polarized.

Category	Item	2025			2026e				2027e			
		Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
GDP (YoY %)												
	US	2.1	2.3	2.0	2.6	2.2	1.7	2.2	2.4	2.4	2.5	2.6
	Euro Area	1.6	1.4	1.3	0.8	0.7	0.5	0.5	0.6	0.9	1.1	1.2
	Japan	2.0	0.5	0.2	0.6	0.1	0.6	0.5	0.4	1.0	1.2	1.2
	China	5.2	4.8	4.5	5.0	4.7	4.8	4.9	4.7	4.8	4.8	4.6
CPI (YoY %)												
	US	2.5	2.9	2.7	2.7	4.0	3.7	3.4	3.2	1.9	1.9	2.1
	Euro Area	2.0	2.1	2.1	2.0	3.2	3.5	3.6	3.3	2.2	1.8	1.6
	Japan	3.4	2.9	2.7	1.4	1.8	2.3	3.5	4.0	2.2	1.8	0.2
	China	0.0	-0.2	0.6	0.8	0.8	0.7	0.7	0.5	0.6	0.6	0.7
Policy Rate (%)												
	US	4.4	4.1	3.6	3.6	3.6	3.6	3.6	3.4	3.1	3.1	3.1
	Euro Area	2.0	2.0	2.0	2.0	2.3	2.5	2.5	2.5	2.3	2.0	2.0
	Japan	0.5	0.5	0.8	0.8	1.0	1.0	1.0	1.0	1.3	1.3	1.3
	China	1.4	1.4	1.4	1.4	1.4	1.4	1.4	1.4	1.4	1.4	1.4
Bond Yield (10Y, %)												
	US					4.5	4.4	4.3	4.3	4.2	4.2	4.2
	Japan					2.3	2.3	2.1	2.0	2.3	2.3	2.3
FX (Spot)												
	USD/JPY					160	160	157	159	156	154	152
	DX					97	95	96	98	99	99	99
Commodity (\$/unit)												
	Brent (bbl)					110	100	90	80	80		
	Copper (lb)					5.15	5.44	5.90	5.90	5.90		
	Gold (oz)					4,400	5,200	5,200	5,000	5,000		

Source: Morgan Stanley Research

The Summit Lies Ahead: MS TOPIX target (end-Jun 2027) 4,300pt

Morgan Stanley equity outlook

DM equities: we assume low-teens expected returns. Upside similar across US/Europe/Japan, but we most prefer US equities given bull/bear skew and earnings strength.

- US has the highest resilience to an energy shock and the clearest earnings rebound. AI capex cycle continues.
- Japan's structural bull narrative intact. Recommend unhedged FX exposure.

EQUITY FORECASTS					
Index		2026	2027	Price Target	Fwd P/E
S&P 500					
	EPS	339.0	380.0	8,300	20.5x
	(EPS Growth YoY %)	23.0	12.0		
MSCI Europe					
	EPS	153.0	162.0	2,700	16.0x
	(EPS Growth YoY %)	11.2	5.9		
Topix					
	EPS	216.0	234.0	4,300	17.5x
	(EPS Growth YoY %)	9.0	8.0		
MSCI EM					
	EPS	125.0	136.0	1,800	13.0x
	(EPS Growth YoY %)	40.0	8.0		
MSCI China					
	EPS	6.6	7.2	90	12.2x
	(EPS Growth YoY %)	6.0	9.0		

Source: Morgan Stanley Research forecasts

The Summit Lies Ahead: MS TOPIX target (end-Jun 2027) 4,300pt

Bullish stance on Japanese equities unchanged

Base case assumes Middle East de-escalation and avoidance of major supply-chain disruption.

Base-case EPS assumes a lag in pass-through from higher oil costs, c. 2-3ppt below consensus.

Equity markets discount future developments in advance. Assume mid/long-term earnings normalization can coexist; fwd P/E 17.5x.

Assuming the past 'low inflation/low pass-through/low margin' regime and treating the historical P/E range as a future upside cap is, in our view, not sufficient.

TOPIX targets by bear/base/bull case

	Current Price	MS Target (Jun-2027)	Prior MS Target (Dec-2026)	MS Top-Down EPS YoY %			Consensus EPS Forecast YoY %			MS Target Fwd P/E Jun - 2027	Prior MS Target Dec-2026	Consensus 12m Fwd P/E Current	MS Target Fwd P/E 10yr Percentile
				Dec-26	Dec-27	Jun-28	Dec-26	Dec-27	Jun-28				
Base Case	3,996	4,300 8%	4,250 6%	216 9%	235 9%	246 9%	227 15%	253 12%	266 11%	17.5x	17.0x	16.5x	93%
Bull Case	3,996	4,900 23%	4,600 15%	224 13%	255 14%	272 15%	227 15%	253 12%	266 11%	18.0x	18.0x	16.5x	96%
Bear Case	3,996	2,600 -35%	3,000 -25%	202 2%	209 4%	217 7%	227 15%	253 12%	266 11%	12.0x	13.0x	16.5x	4%

Note: Data as of June/4. Source: Bloomberg, FactSet, QUICK Workstation, I.N. Information Center, Morgan Stanley Research

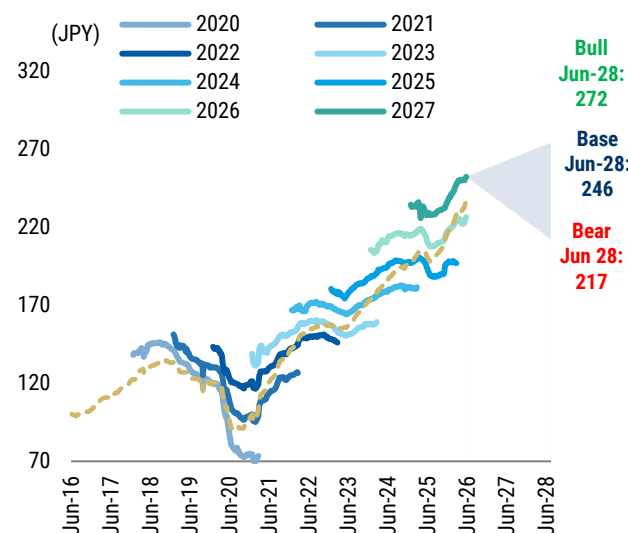
The Summit Lies Ahead: MS TOPIX target (end-Jun 2027) 4,300pt

But our bull/bear scenario gap is wide

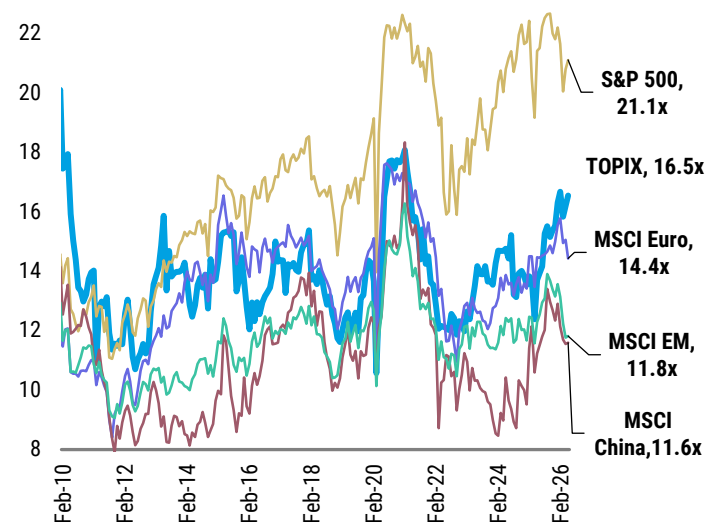
Our base case remains constructive, but uncertainty is still high.

- In a bear case where Middle East escalation drives a sharp oil spike and triggers a global recession, forward P/E could fall to 12.0x.
- In this scenario, Japanese equities likely face both EPS pressure and valuation compression.
- Conversely, in a bull case where US-led investment/consumption is stronger than expected and AI-driven productivity gains enable both lower inflation and easier financial conditions, fwd P/E of 18.0x is in sight.

TOPIX vs. consensus EPS



12M fwd P/E: major equity indices



Source: Bloomberg, FactSet, IBES, Morgan Stanley Research

The Summit Lies Ahead: MS TOPIX target (end-Jun 2027) 4,300pt

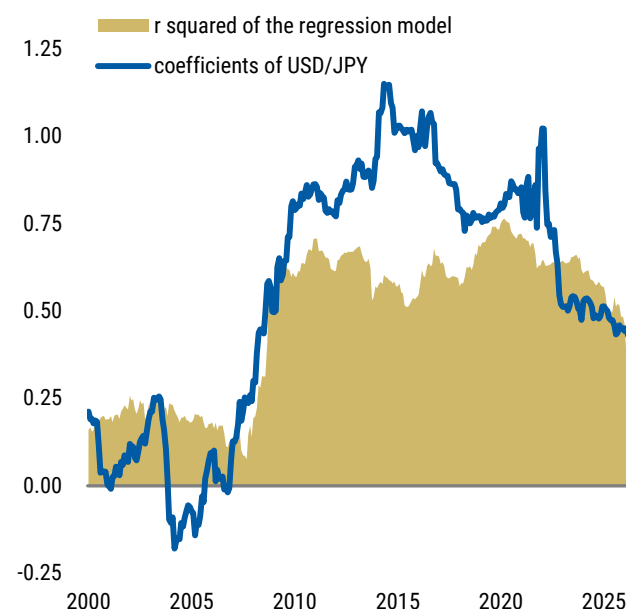
Japanese corporates steadily expanding margins

USD/JPY and Japanese equities show a positive correlation, but the regression beta has trended down over the past decade since Abenomics, suggesting export FX sensitivity has clearly declined.

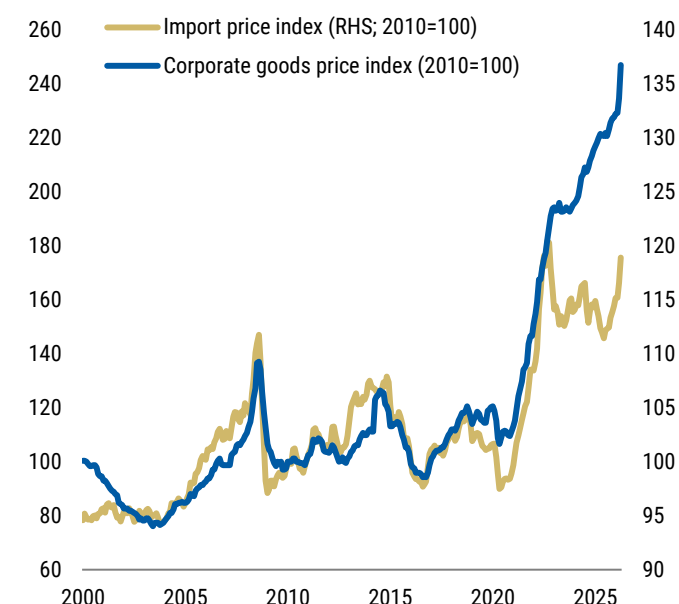
- Since experiencing higher import prices post-COVID, Japanese corporates have continued efforts to improve margins.
- This should make earnings less vulnerable to JPY appreciation than in the past.
- Therefore, we do not see USD/JPY as the sole driver of JPY-denominated earnings.

USD/JPY is not the sole driver of Japan equity upside

TOPIX sensitivity to USD/JPY



Import prices vs. domestic corporate goods prices



Note: Import Price Index: total avg, JPY-based. Domestic Corporate Goods Price Index: total avg, chain-linked basis. Source: Bloomberg, FactSet, QUICK Workstation, I.N. Information Center, Morgan Stanley Research

The Summit Lies Ahead: MS TOPIX target (end-Jun 2027) 4,300pt.

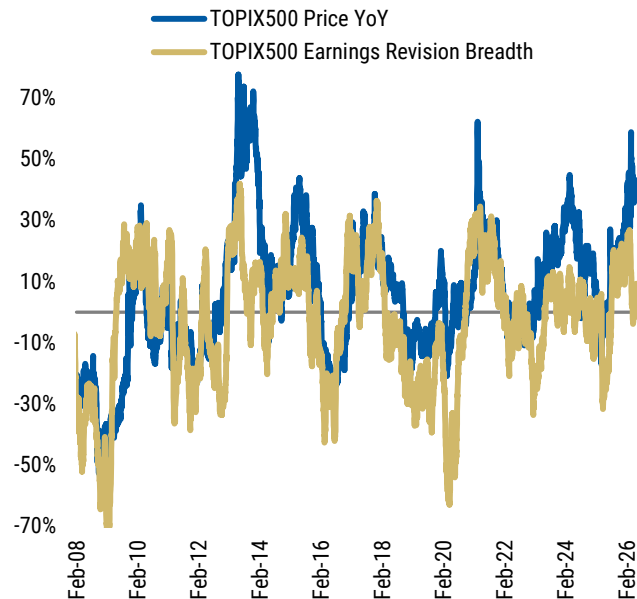
Japan equities: pricing in near-term earnings deterioration + mid/long-term earnings normalization

Current Middle East situation:
cyclical disruption factor.

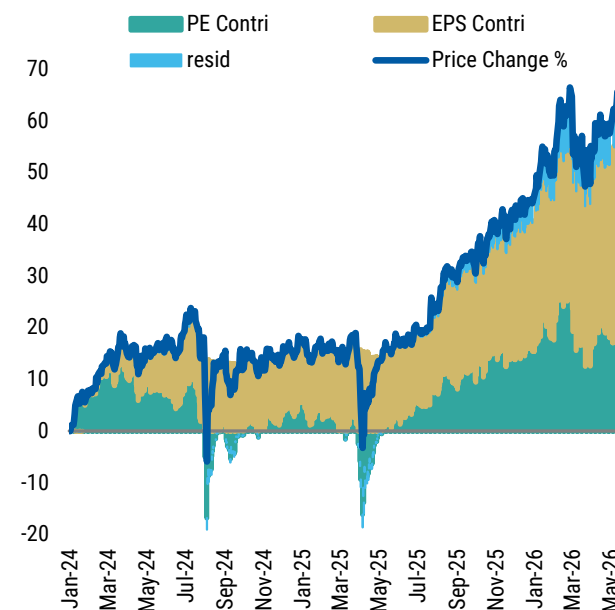
- Near-term EPS downside risk and mid/long-term earnings normalization hopes can coexist.
- Japan equities appear to be pricing in both.

Index resilient despite worsening analyst revisions.

TOPIX500 revisions and stock price YoY



TOPIX cumulative change: EPS and P/E drivers



Source: Bloomberg, Morgan Stanley Research

The Summit Lies Ahead: MS TOPIX target (end-Jun 2027) 4,300pt.

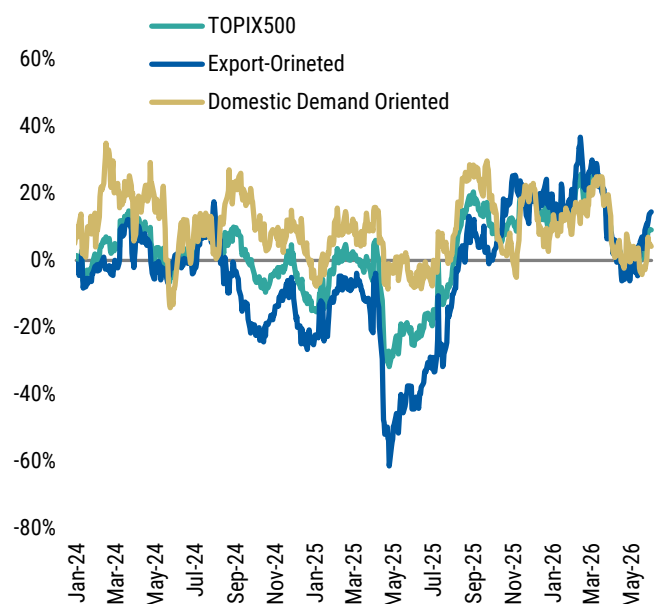
Japan equities: pricing in near-term earnings deterioration + mid/long-term earnings normalization

With USD/JPY staying high, outperformance of export-oriented names continues.

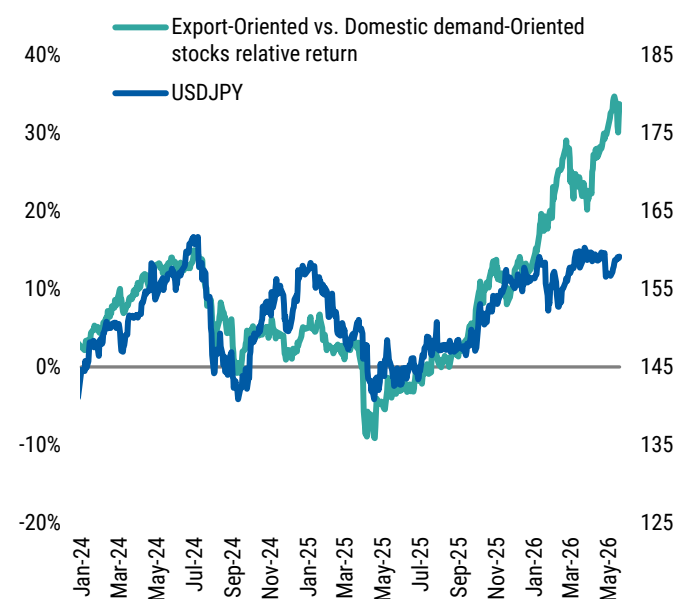
- Analyst revisions have recently deteriorated in both domestic- and export-oriented sectors.
- From here, sector thematic appeal may be the key source of excess returns.

Themes, rather than earnings, are becoming a key source of excess returns

TOPIX500 revisions



Export- vs. domestic-oriented relative returns & USD/JPY



Note: Export-oriented = Autos & Transport Equip., Steel & Nonferrous, Machinery, Electric Appliances & Precision, Trading Cos. & Wholesale. Domestic-oriented = Foods, Construction & Materials, Info & Comms/Services & Others, Transport & Logistics, Retail. Source: Bloomberg, Morgan Stanley Research

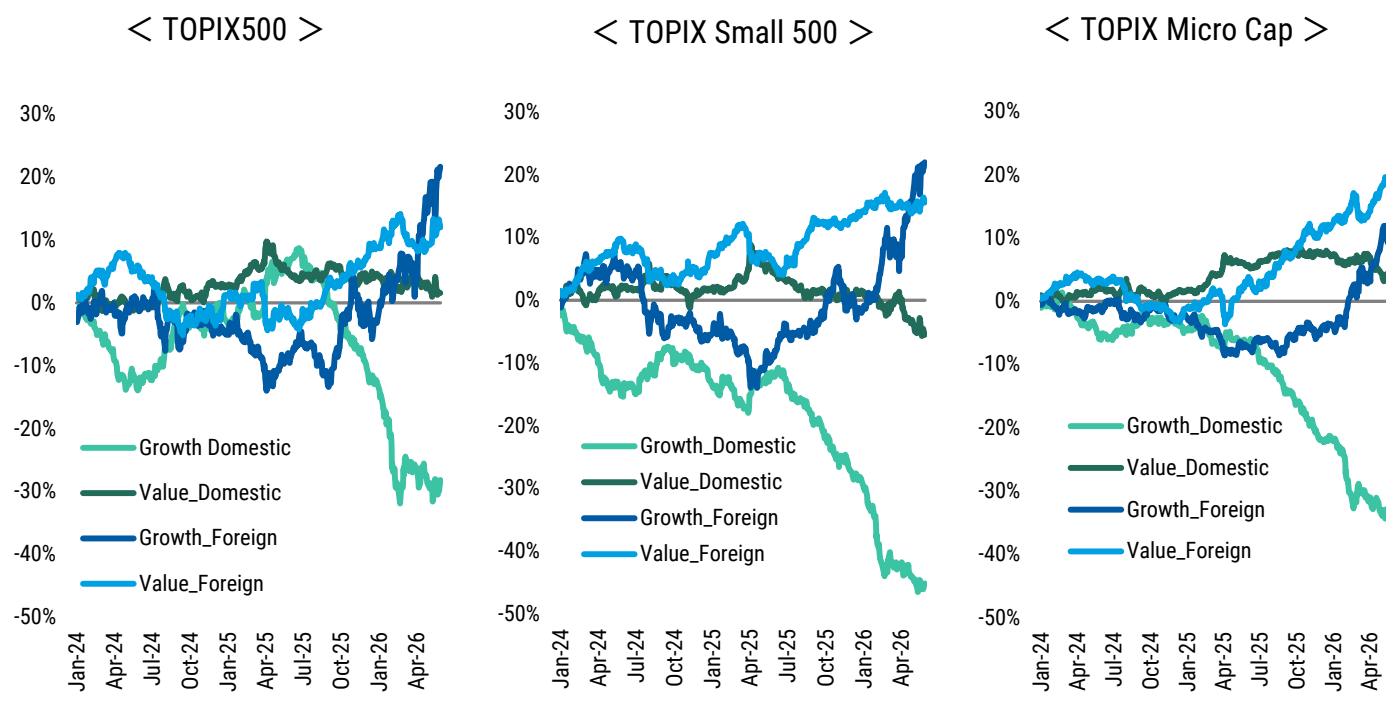
The Summit Lies Ahead: MS TOPIX target (end-Jun 2027) 4,300pt.

Japan equities: pricing in near-term earnings deterioration + mid/long-term earnings normalization

Export-oriented outperformance is most pronounced in growth, regardless of mkt cap.

Domestic growth: recent underperformance easing, likely on rising hedging demand.

Excess returns vs. index by domestic/export and value/growth



Note: Export-oriented = Autos & Transport Equip., Steel & Nonferrous, Machinery, Electric Appliances & Precision, Trading Cos. & Wholesale. Domestic-oriented = Foods, Construction & Materials, Info & Comms/Services & Others, Transport & Logistics, Retail. Value = 3rd tertile of BPR tertiles in the universe; Growth = 1st tertile of BPR tertiles. Cumulative excess returns vs. index since 2024.

Source: Bloomberg, Morgan Stanley Research

The Summit Lies Ahead: MS TOPIX target (end-Jun 2027) 4,300pt

Seasonality suggests net foreign buying into July

Seasonality in foreign flows: selling tends to emerge in Mar, then shifts to buybacks from Apr; net buying often persists into July

As early-FY repositioning progresses, supply-demand tends to support Japanese equities.

On factors, momentum often improves into July after an early-spring pullback. With foreign buybacks as a tailwind, odds are relatively high that Japan equity momentum holds into summer.

Factor returns and seasonality in foreign investor flows

Group	Factor	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
Value	Book/Price	2.33	1.50	-0.11	1.45	-0.76	-0.41	-0.37	0.44	0.32	0.28	0.18	2.20
Value	Earnings/Price	1.53	1.26	0.12	1.02	0.98	-0.27	0.65	0.49	-0.26	0.61	0.26	0.29
Value	Sales/Price	1.14	0.77	-0.06	1.28	0.12	-0.45	0.01	0.38	-0.71	-0.13	-0.35	2.36
Value	Div Yield	2.35	1.35	0.03	0.85	0.35	-0.03	0.97	1.68	0.53	1.02	1.05	1.58
Est. Value	Est. E/P	1.49	0.29	-0.37	0.62	1.04	-0.91	0.51	-0.36	-0.51	0.27	0.29	0.05
Est. Value	Est. S/P	1.35	0.74	0.11	1.27	0.20	-0.56	-0.10	0.17	-0.69	-0.18	-0.73	2.15
Est. Value	Est. DY	2.28	1.15	-0.44	0.54	0.19	-0.64	0.01	1.19	-0.35	0.33	0.12	1.26
Quality	ROE	-0.91	0.16	0.82	-0.60	2.02	0.49	1.54	0.06	-0.40	0.02	0.73	-2.33
Quality	Est. ROE	-1.30	-0.58	0.57	-1.24	1.93	0.08	0.99	-0.49	-0.58	0.07	0.56	-2.26
Earnings	Earnings Trend	-0.48	0.75	0.32	-0.04	1.31	0.22	0.00	-0.26	-0.84	-0.66	0.40	-2.02
Earnings	Revision	-0.17	0.02	0.33	-0.67	-0.01	0.49	1.02	-0.72	1.40	-0.07	-0.80	0.15
Momentum	Mom 3M	-0.86	0.38	-0.33	-0.88	-0.28	-0.14	0.30	0.85	1.77	-0.77	-0.32	0.04
Momentum	Mom 1Y	-0.79	-0.60	0.01	-1.43	0.42	0.69	0.31	-0.94	1.88	-0.98	-1.93	0.18
Momentum	Mom 2Y	-1.05	-0.22	0.04	-1.75	1.22	0.73	0.79	-0.35	1.42	-0.74	-0.16	-1.84
Momentum	Mom 3Y	-1.25	0.17	0.40	-1.48	1.02	0.75	0.89	-0.23	0.71	-0.89	-0.55	-2.08
Size	Size	-0.40	0.29	-1.28	-0.76	1.17	-0.72	0.22	-0.09	-0.38	0.59	0.49	-0.88
Risk	Volatility	0.08	0.98	-0.10	3.13	1.67	-0.67	-0.14	-1.91	-1.31	1.10	1.11	0.89
Flow	Foreign Net (bn)	179.3	57.4	-1,006.1	1,270.9	473.9	58.3	301.6	-505.6	-501.5	222.8	623.0	-10.4

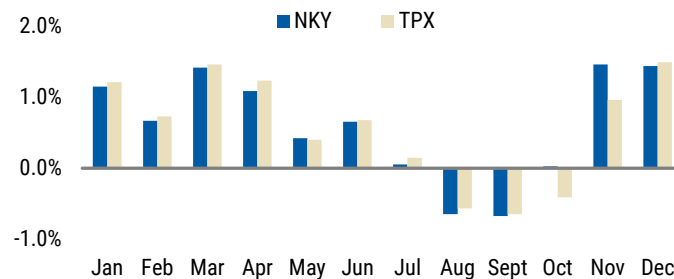
Source: Bloomberg, FactSet, QUICK Workstation, Morgan Stanley Research

The Summit Lies Ahead: MS TOPIX target (end-Jun 2027) 4,300pt

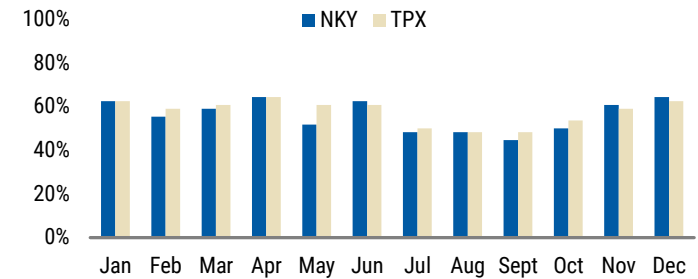
Seasonality suggests net foreign buying into July

Seasonality with relatively high hit rate: foreign net selling in Mar; net buying into July

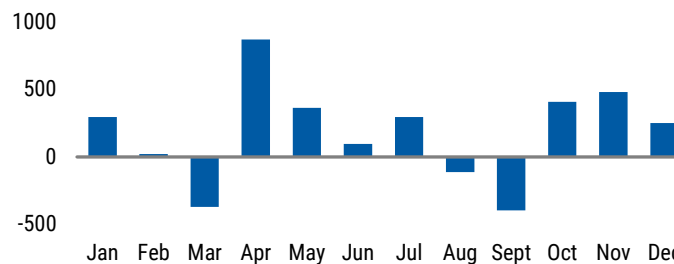
Monthly returns: Nikkei 225 and TOPIX



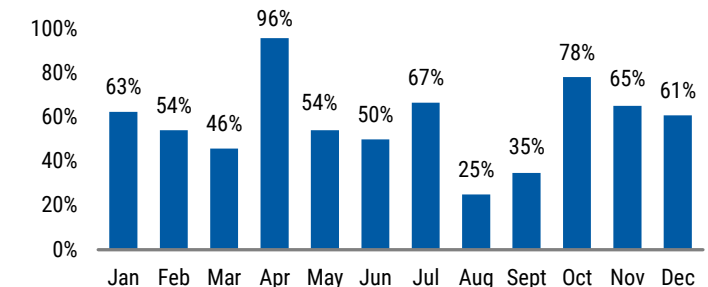
Monthly win rate: Nikkei 225 and TOPIX



Foreign investors: monthly net buy/sell (JPY bn)



Foreign investors: monthly net buying ratio



Note: Data since 1970.

Source: JPX, Bloomberg, FactSet, QUICK Workstation, IN Information Center, Morgan Stanley Research

The Summit Lies Ahead: MS TOPIX target (end-Jun 2027) 4,300pt

Seasonality suggests net foreign buying into July

From early Apr, momentum and growth factors become more effective.

Looking ahead: AGM season ramps up in Jun; CG Code revision due this summer.

If focus shifts to names with cross-shareholding unwind optionality, cash-rich names, or large unrealized real estate gains, risk of higher value-factor efficacy.

Factor returns and foreign investor flows (since Mar 2025)

Group	Factor	2025-03	2025-04	2025-05	2025-06	2025-07	2025-08	2025-09	2025-10	2025-11	2025-12	2026-01	2026-02	2026-03	2026-04	2026-05	2026-06 MTD	Cumulative
Value																		
	Book/Price	2.11	-5.55	-2.10	-2.74	6.60	6.98	2.56	-2.98	8.16	5.53	5.25	5.81	1.44	-6.81	1.19	-1.91	26.28
	Earnings/Price	1.44	-2.90	1.08	-2.59	5.22	6.26	0.56	-1.75	6.29	1.82	0.57	-0.29	2.73	-9.76	-7.62	-1.16	0.72
	Sales/Price	1.61	-3.45	-2.14	-3.68	5.93	5.52	-0.29	-3.38	7.05	2.15	-0.12	0.98	0.31	-10.79	-1.69	-2.01	-6.12
	Div Yield	2.27	-5.18	-0.65	-3.66	5.64	3.81	-0.06	-3.43	7.36	5.17	1.47	-0.37	3.25	-7.50	-4.15	-1.14	2.84
Est. Value																		
	Est. E/P	1.68	-3.74	0.13	-4.56	6.19	5.47	1.34	-4.43	10.19	3.27	1.93	-1.05	2.91	-7.88	-3.62	-1.43	6.22
	Est. S/P	1.65	-3.27	-2.08	-3.41	5.66	5.89	-0.49	-4.01	6.55	2.10	-1.12	0.95	0.45	-10.83	-1.78	-2.15	-8.81
	Est. DY	2.28	-5.19	0.77	-3.87	5.36	3.27	0.13	-3.13	6.52	5.22	1.12	-0.77	3.17	-7.51	-3.26	-1.47	2.09
Quality																		
	ROE	-1.33	3.74	4.55	2.93	-2.86	-1.55	-2.08	3.70	-2.66	-3.89	-3.63	-5.72	1.60	0.79	-5.71	0.72	-10.13
	Est. ROE	-1.70	3.20	3.21	1.88	-4.46	-3.92	-2.32	2.25	-1.00	-3.70	-3.67	-4.65	1.03	1.88	-3.18	0.16	-15.69
Earnings																		
	Earnings Trend	0.86	3.14	0.20	0.69	1.28	5.03	-1.66	1.14	-0.49	-1.87	-0.97	0.34	-0.91	4.67	-0.58	-0.02	11.29
	Revision	-0.86	0.24	-0.70	1.57	-0.72	2.16	-0.10	3.21	-3.65	-1.20	3.84	3.82	-5.93	9.05	4.49	0.12	16.32
Momentum																		
	Mom 3M	-0.25	2.77	-4.31	1.67	-1.17	2.01	1.21	6.72	-3.89	1.27	7.24	11.22	-9.89	4.89	8.93	3.70	38.04
	Mom 1Y	1.89	0.86	-1.03	1.25	-2.83	-1.07	-1.71	5.62	-3.79	-1.80	9.11	11.50	-8.91	10.83	9.24	1.48	29.36
	Mom 2Y	0.32	0.37	1.52	1.62	0.98	3.76	0.09	7.37	-3.34	-2.36	5.25	9.51	-7.11	6.27	3.55	0.13	31.36
	Mom 3Y	1.37	-0.16	2.43	1.46	0.63	4.01	0.27	6.22	-3.52	-0.53	7.27	9.19	-6.47	5.63	1.66	1.02	33.60
Size																		
	Size	-2.17	2.11	1.99	0.46	-2.25	-0.41	0.36	5.88	-2.13	-0.51	2.03	4.20	-3.98	4.24	0.74	0.71	12.98
Risk																		
	Volatility	-2.46	-1.94	8.96	5.16	1.31	0.60	3.33	8.97	-6.72	0.08	6.41	3.78	-7.38	19.14	9.68	1.94	59.86
Flow																		
	Foreign Cash (bn JPY)	-2,097.9	1,197.9	2,276.5	926.6	1,738.6	-122.8	-1,414.5	3,095.5	4.9	-266.9	2,342.2	2,840.7	-2,281.0	5,338.8	2,611.0		16,207.9
	Foreign Futures (bn JPY)	-360.1	-538.9	404.6	347.8	150.0	269.0	474.2	-606.1	25.9	184.7	-624.6	522.1	-718.0	537.8	-163.7		-649.1

Source: Bloomberg, FactSet, QUICK Workstation, Morgan Stanley Research

The Summit Lies Ahead: MS TOPIX target (end-Jun 2027) at 4,300pt

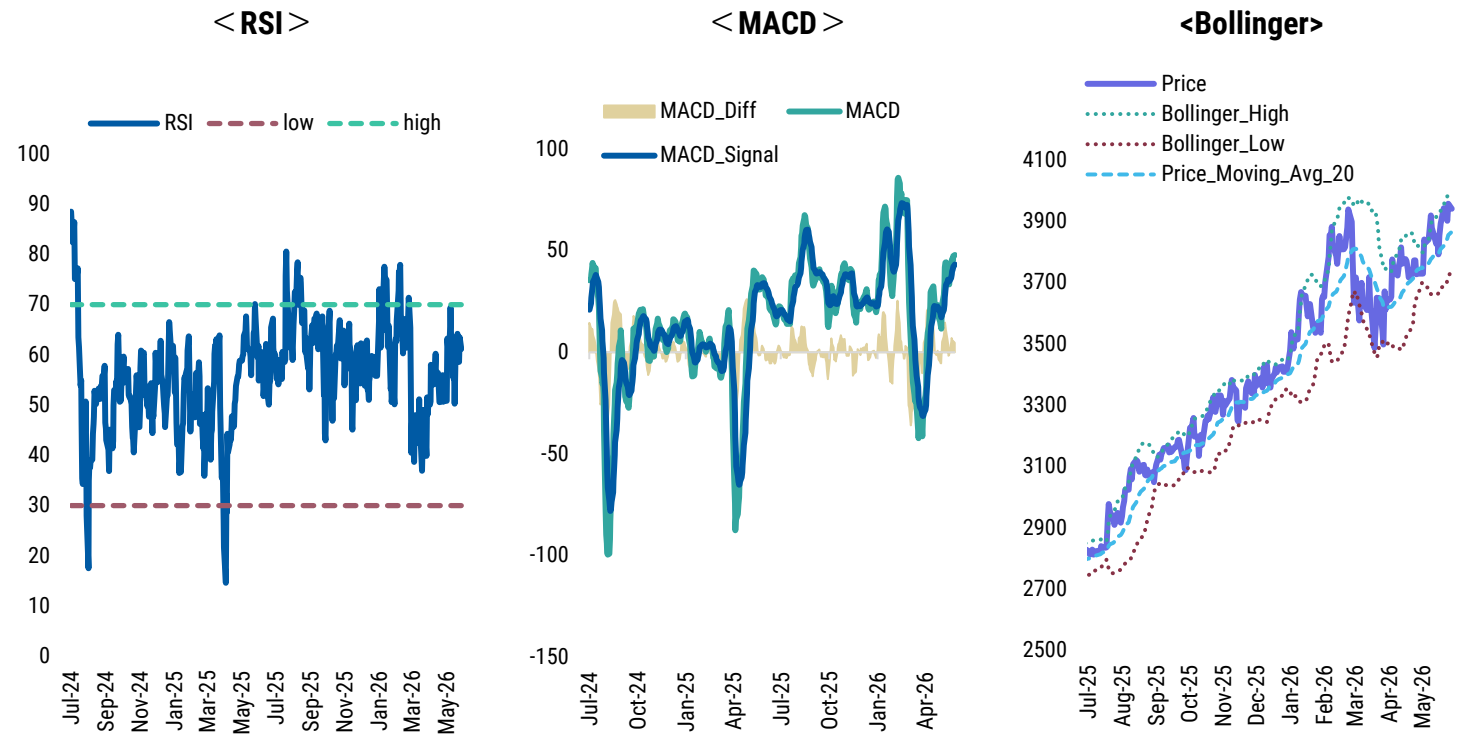
Technical: room to run, not yet overheated

TOPIX remains above the 20-day MA; short-term trend still up.

RSI has rebounded to the 60s; still below overbought, leaving upside room.

However, TOPIX is nearing the upper Bollinger Band; near-term profit-taking pressure may build.

Key focus: hold near the upper band and form a pullback without breaking the 20-day MA.



Source: Bloomberg, FactSet, Morgan Stanley Research

Top-down sector preferences: favor upstream B2B sectors

Overweight upstream supply-chain sectors aligned with Takaichi administration's 17 strategic areas

Inflation expectations, security premium, and faster AI capex cycle driving the "real assets era"

- Overweight sectors we see as highly aligned with Takaichi administration's 17 strategic areas (Construction & Materials, Machinery, Electric Precision, Materials & Chemicals, Steel & Nonferrous)
- Underweight sectors where headwinds (Middle East risks, higher fuel/raw materials, US tariffs, rising rates, higher labor costs) could cap earnings growth (Auto & Transport Equipment, Retail, Foods, Pharma, Transportation & Logi)

Top-down sector preferences

	Weight	Earnings				Sensitivity (regression coefficient)			Cross-shareholdings		Shareholder returns and capital efficiency			Stock price momentum				Valuation	
TSE-17	MS Topdown base	RP growth (current)	RP growth (1 yr fwd)	Analyst revision (1 yr fwd)	Assumed USD/JPY	USD/JPY	US 10y treasury	Oil prices (WTI)	% of cross-shareholdings to market caps	% of owned cross-shareholdings to market caps	% of Announced share buybacks to market caps	Expected dividend yield	ROE (1 yr fwd)	1 mo.	3 mo.	6 mo.	12 mo.	PER(FY1)	PBR
Construction & Materials	O	-8.6%	14.5%	8.5%	149.4	0.1	-3.3	0.01	6.7%	4.3%	1.8%	2.9%	10.0%	4%	-6%	17%	55%	14.9	1.4
Raw Materials & Chemical	O	21.7%	6.4%	8.4%	148.4	0.0	-4.7	0.02	2.8%	3.0%	1.5%	2.1%	8.3%	4%	-1%	20%	33%	18.1	1.5
Steel & Non-ferrous metal	O	20.7%	14.0%	14.4%	147.9	0.1	-3.5	0.07	3.4%	2.3%	0.2%	1.6%	9.2%	10%	14%	80%	187%	20.5	1.8
Machinery	O	8.9%	5.7%	14.0%	148.5	0.1	-4.6	0.03	1.5%	2.6%	0.6%	1.6%	10.2%	3%	-4%	26%	55%	21.0	2.1
Electric Precisions	O	46.5%	7.6%	48.8%	147.2	0.0	-7.1	-0.01	1.6%	1.0%	0.7%	1.0%	16.5%	7%	8%	23%	58%	21.9	3.8
Wholesale	O	13.1%	5.3%	11.1%	148.8	0.2	0.0	0.05	3.5%	3.4%	1.8%	2.4%	11.5%	2%	-5%	26%	61%	14.9	1.7
Energy Resources	E	12.5%	-16.5%	9.1%	147.3	0.4	2.8	0.17	1.8%	1.7%	4.8%	2.9%	7.4%	-3%	-8%	20%	82%	9.8	0.9
IT Service and Others	E	-19.9%	10.8%	2.8%	148.5	0.0	-2.1	0.03	2.3%	3.4%	1.9%	1.6%	9.4%	2%	1%	-7%	4%	22.6	1.9
Electric Power / Gas	E	-30.3%	27.2%	3.5%	156.2	0.3	-0.3	0.00	6.7%	3.6%	1.0%	2.4%	7.9%	0%	-10%	-1%	43%	9.1	0.7
Banks	E	12.8%	9.7%	17.3%	148.3	0.2	4.1	0.04	15.2%	2.9%	0.9%	2.9%	10.5%	2%	-4%	24%	57%	13.8	1.3
Financials (Ex. Bank)	E	-12.2%	4.8%	-1.5%	146.5	0.3	2.2	0.06	12.2%	3.3%	1.9%	3.7%	10.0%	0%	-4%	17%	28%	11.9	1.3
Real Estate	E	5.7%	6.1%	5.0%	145.0	0.2	-1.3	0.03	7.6%	9.7%	0.9%	2.5%	10.1%	0%	-15%	7%	35%	12.6	1.4
Foods	U	6.9%	7.1%	4.1%	150.3	0.1	-1.7	0.02	2.7%	3.5%	1.1%	2.8%	10.6%	2%	-3%	6%	18%	14.5	1.5
Pharmaceutical	U	2.6%	22.6%	5.1%	149.2	0.3	-0.5	0.09	1.1%	2.0%	1.0%	2.7%	10.5%	0%	-12%	1%	13%	18.8	1.9
Auto & Transportation Eq.	U	4.1%	34.4%	1.1%	147.6	0.6	2.6	0.04	5.7%	6.9%	4.9%	3.5%	8.4%	-3%	-21%	-8%	3%	12.3	0.9
Transportation & Logistics	U	-9.8%	10.4%	3.1%	149.5	0.1	-0.9	0.08	6.4%	8.4%	2.7%	2.8%	7.8%	1%	-9%	-1%	9%	12.3	1.0
Retail	U	10.5%	7.0%	6.0%	150.4	0.0	-2.3	0.03	1.0%	2.6%	0.5%	1.4%	10.6%	2%	-8%	-4%	11%	26.2	2.6

Note: O=Overweight, E=Equal-weight, U=Underweight. Each factor based on TOPIX 500 universe. Analyst revisions (next FY) = change vs. 3 months earlier in next FY recurring profit forecasts (as of 2026/6/2). USD/JPY assumption derived from company guidance as of 6/2, or average of names with Nikkei forecasts available. Sensitivities are regression betas vs. TOPIX-17 sector indices (5 years of monthly data). Cross-shareholdings/market cap and shares held by others/market cap calculated using latest FY financials available as of May 9 and latest market cap. Investment view/MS top-down is for the next 1-3 months.

Source: Bloomberg, FactSet, QUICK Workstation, IN Information Center, Morgan Stanley Research

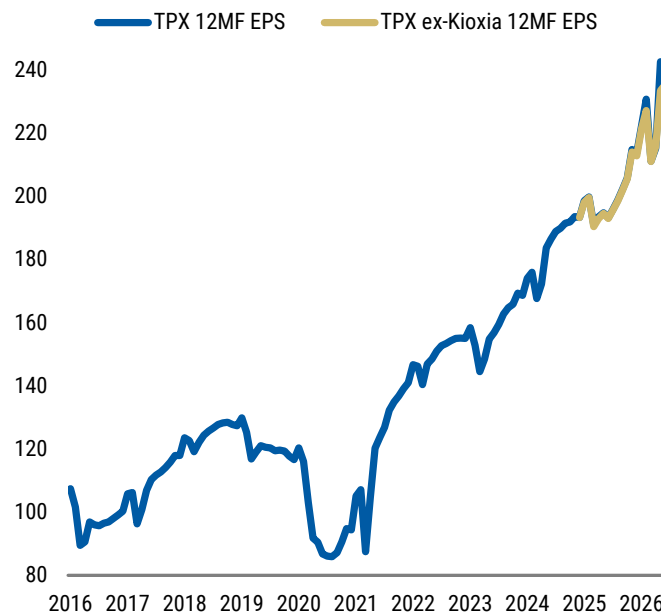
Top-down sector preferences: favor upstream B2B sectors

Growth momentum continues: investor focus shifting from value (cheapness) to growth (earnings growth)

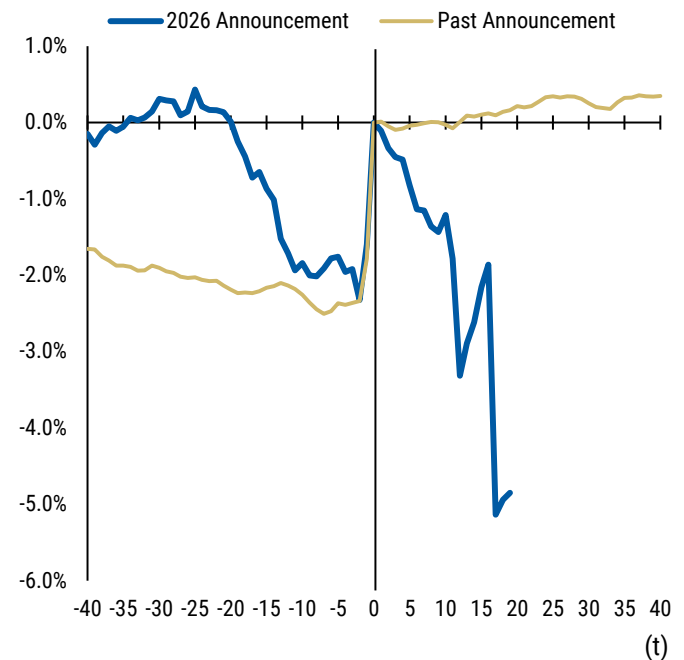
FY2025 results broadly solid.

- Recent FY results, led by AI-related names, were strong; TOPIX 12-month forward EPS was sharply revised up post-results.
- Yet despite strong earnings growth, the share price response to shareholder returns (e.g., buybacks) remains weaker than in the past.

TOPIX 12-month forward EPS



Share price reaction to buybacks



Note: Right chart covers TOPIX constituents with Feb/Mar fiscal year-ends. "Past" is the average from FY05/3 to FY25/3 results. t=0 is the next trading day after the earnings release. Returns are excess vs. TOPIX. Shown from the first day with 10+ qualifying names.

Source: Bloomberg, FactSet, QUICK Workstation, IN Information Center, Morgan Stanley Research

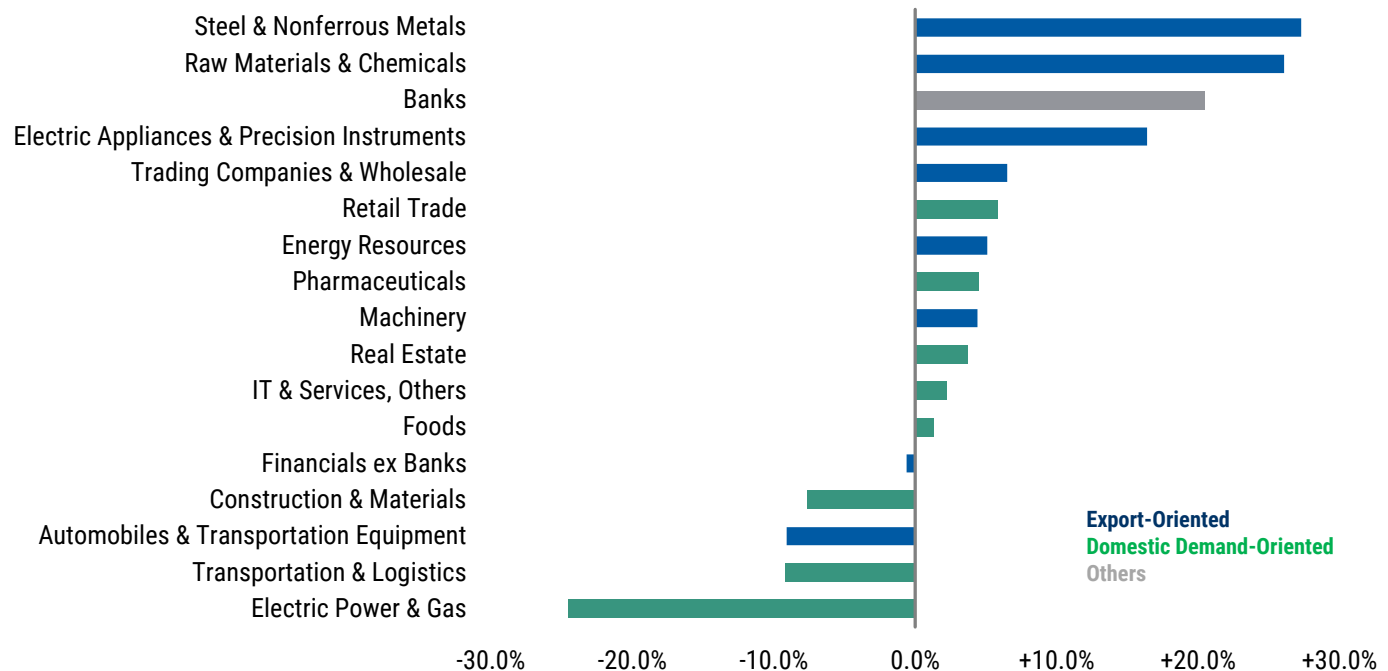
Top-down sector preferences: favor upstream B2B sectors

Growth momentum continues: FY2026 outlook is bifurcating

Key feature of FY2026 guidance: outlook increasingly bifurcated depending on whether profit-growth drivers exist.

- Semis, infrastructure, construction/installation, and machinery tied to AI, data centers, and domestic capex: relatively high confidence in profit growth and clearer visibility.
- By contrast, Auto, Transportation & Logi, and Utilities (Power & Gas) with high sensitivity to fuel/raw materials and geopolitical risk: elevated uncertainty; many cases where company plans are well below consensus.

FY2026 company guidance by sector (YoY)



Note: Universe = TOPIX constituents with Feb/Mar FY-ends and available actuals under the same accounting standard. Where recurring profit is not defined under the accounting standard, pre-tax profit is used as recurring profit. For parent-subsidary listings, listed subsidiaries are excluded. As of 5/13.

Source: Bloomberg, FactSet, QUICK Workstation, IN Information Center, Morgan Stanley Research

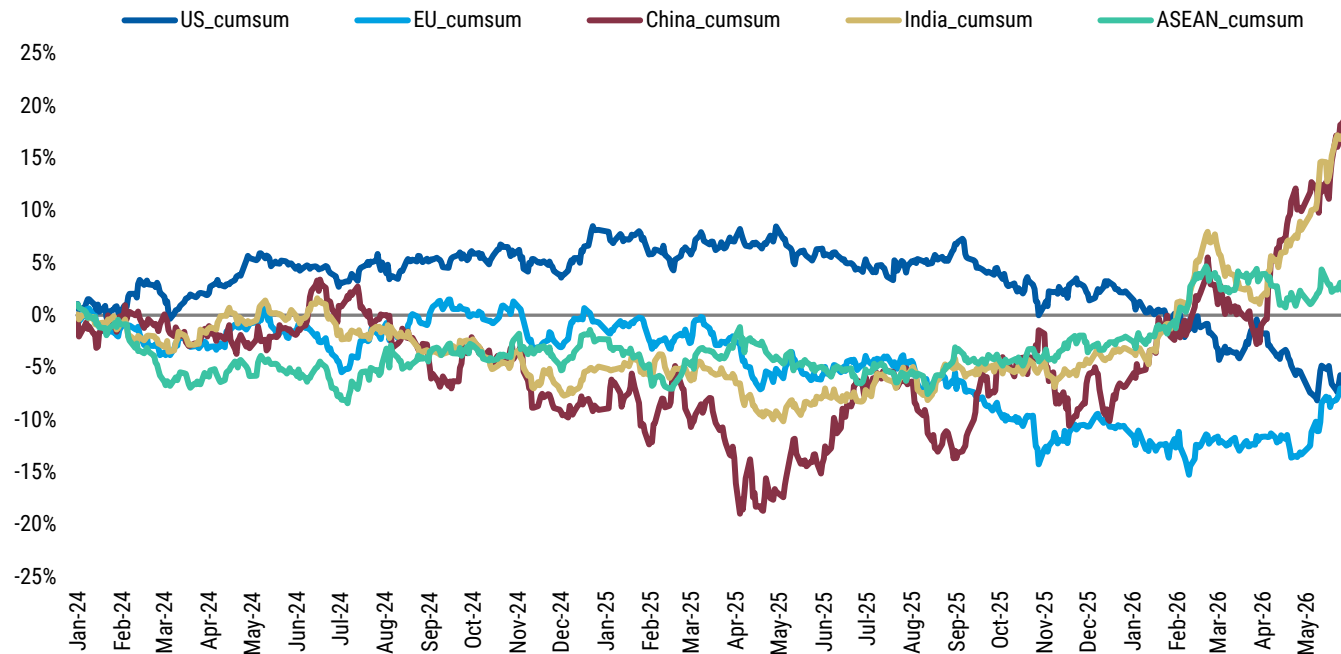
Top-down sector preference: favor upstream supply-chain B2B sectors

Performance bifurcated among names with high US vs. China/India revenue exposure

Recently, returns for high China/India revenue-exposure names have improved sharply.

Meanwhile, high US revenue-exposure names have seen a gradual deterioration in performance.

Cumulative excess return vs. TOPIX: top 30 stocks by revenue exposure (by country/region)



Note: TOPIX500 universe; excess vs. TOPIX; top 30 by exposure (equal-weight).

Source: Bloomberg, FactSet, QUICK Workstation, Morgan Stanley Research

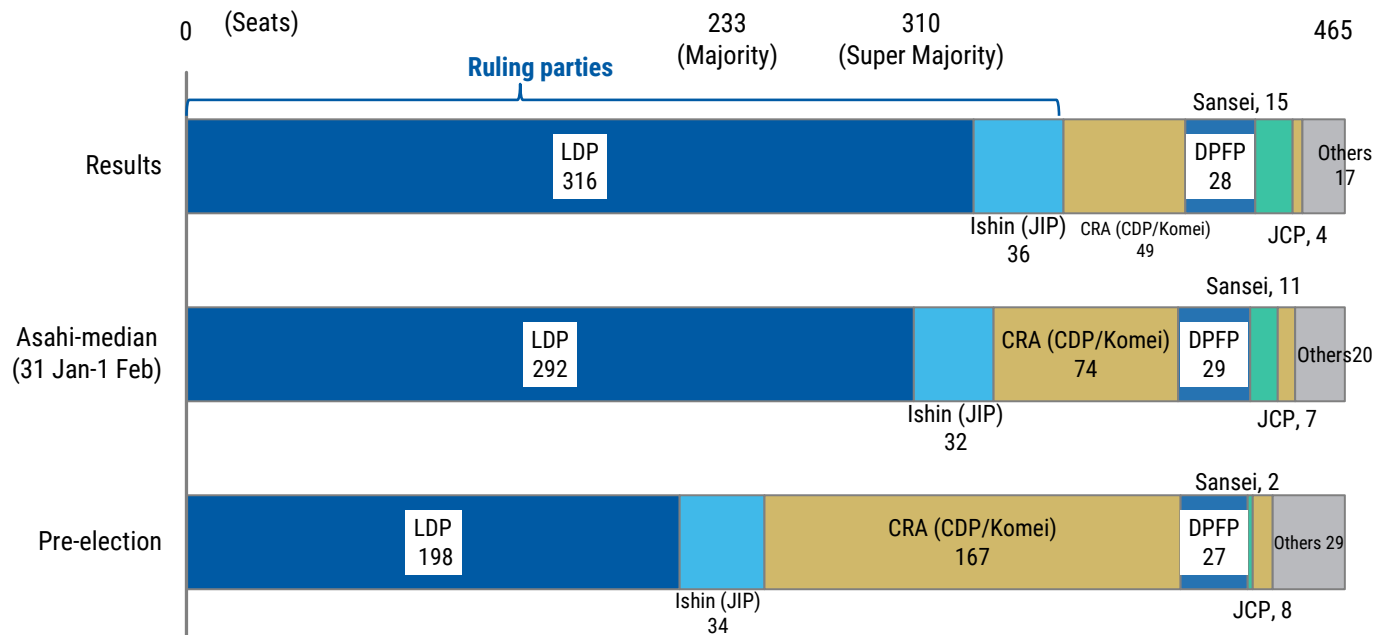
Expectation of a long Takaichi administration / faster growth strategy incl. national security

Japan equities entering a phase of pricing in a redesign of the national structure

The LDP led by PM Takaichi won 316 seats in the Lower House snap election, exceeding 2/3 on its own (akin to "all red" / "all blue" in a US presidential election) - a landslide. Most seats ever won by a single party in the postwar era.

- In July's "Basic Policy 2026," focus on priority items and policy direction for next FY budget formulation

Seats won by each party in the Feb 2026 Lower House snap election



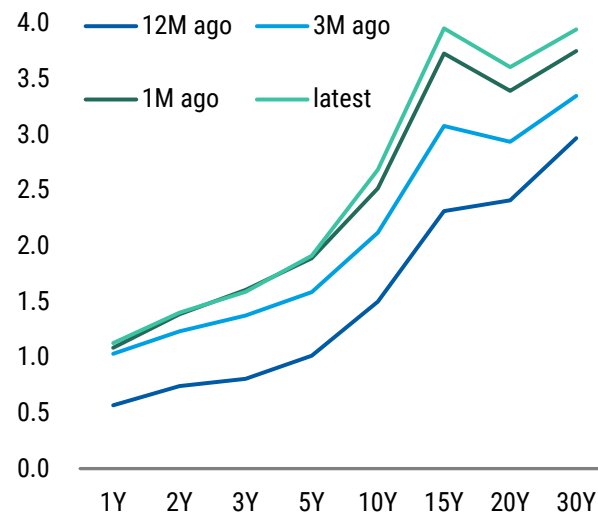
Source: Bloomberg, FactSet, QUICK Workstation, I-N Information Systems, Morgan Stanley Research

Expectation of a long Takaichi administration / faster growth strategy incl. national security

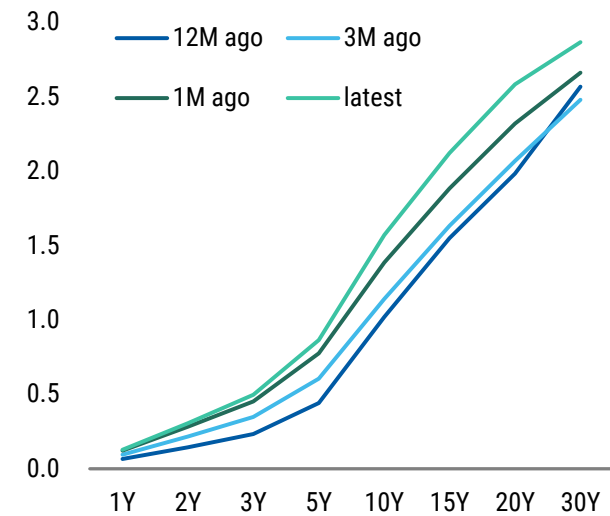
Fiscal sustainability and sustained market confidence could drive a Japan re-rating

In the Japan market recently, rising overseas rates, fiscal deficit concerns, and BoJ behind-the-curve worries have combined to push up long and super-long yields.

JGB yield curve, %



JGB term premium, %



Source: METI "FY2018 Industrial Tax System Handbook" (left chart), Bloomberg, FactSet, QUICK Workstation, I-N Information Systems, Morgan Stanley Research

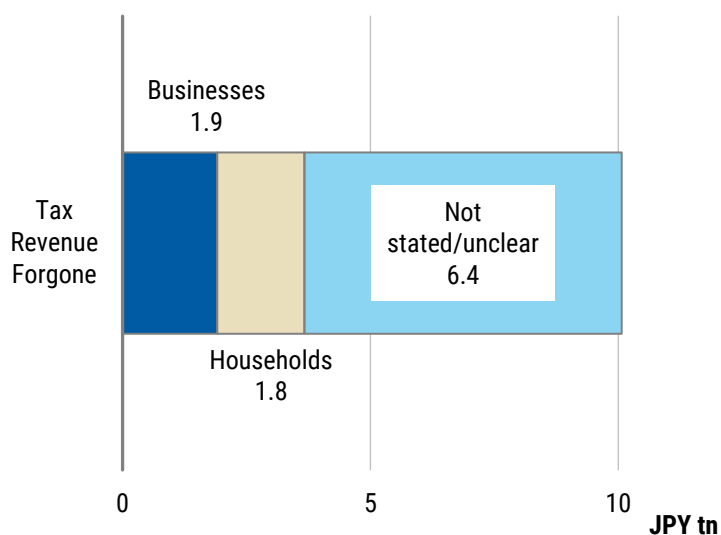
Expectation of a long Takaichi administration / faster growth strategy incl. national security

Concerns over fiscal policy and BoJ being behind the curve may both fade

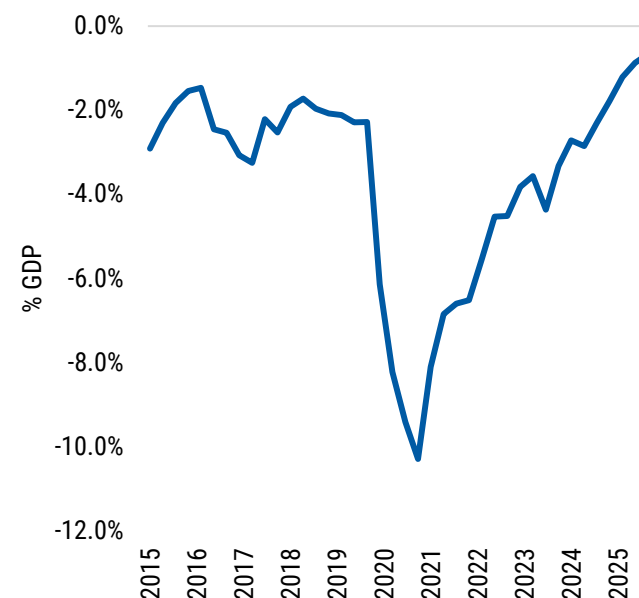
Our team is watching Japan's version of DOGE, overseen by Finance Minister Katayama, as one potential lever to address fiscal concerns.

- A 2018 METI report estimated tax revenue forgone from the Special Taxation Measures Law at JPY 10.1tn in total.
- Efficiency gains from reforming tax expenditures under the Special Taxation Measures Law could be sizable.
- If fiscal efficiency gains become clearer and lead to JGB buying and JPY buying, concerns about the BoJ being behind the curve should also recede.

METI estimate of revenue loss from the Special Taxation Measures Law (by beneficiary, 2018)



General government fiscal balance (% of GDP, flow of funds basis)



Source: METI "FY2018 Industrial Tax System Handbook" (left chart), Bloomberg, FactSet, QUICK Workstation, I-N Information Systems, Morgan Stanley Research

Long-tenure expectations for Takaichi / faster growth strategy incl. national security

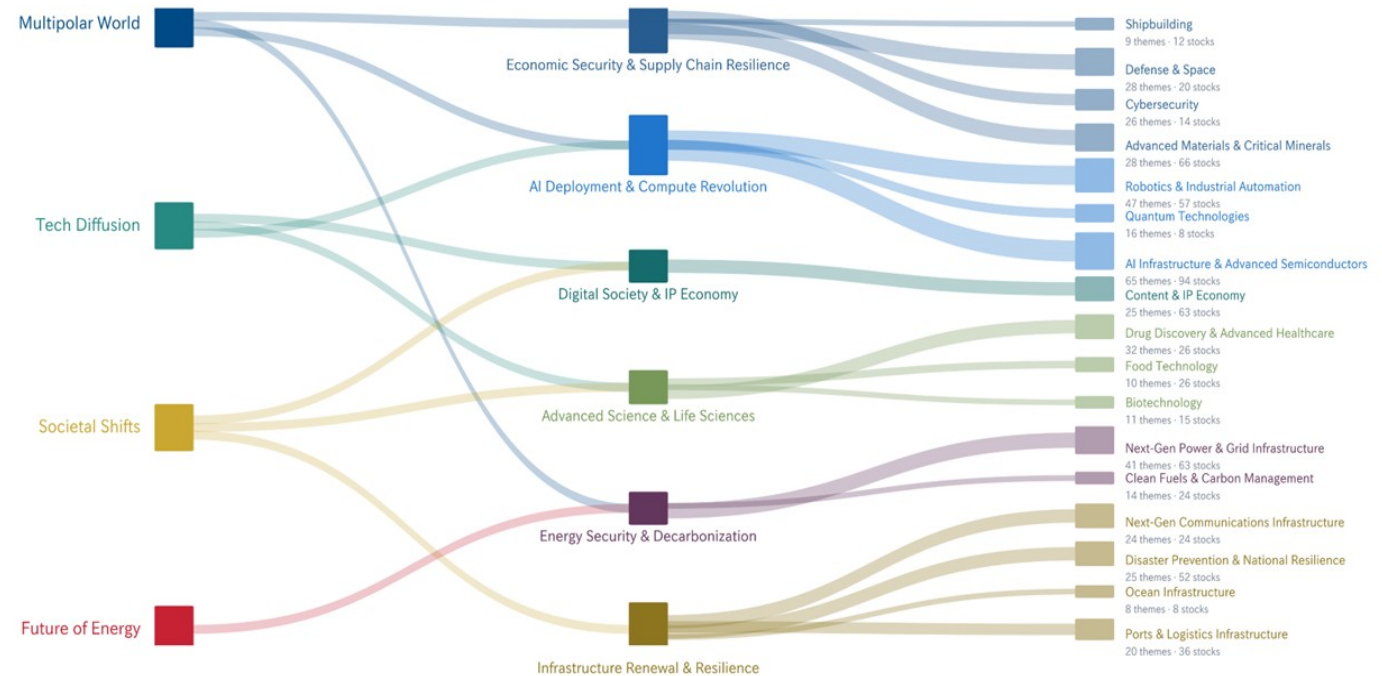
Key themes to watch under a Takaichi administration

Of the Takaichi administration's "17 strategic areas", we see four long-duration themes likely to attract capital allocation: (1) economic security & supply-chain resilience, (2) AI deployment & computing revolution, (3) energy security & decarbonization, (4) infrastructure renewal & national resilience.

1. Econ security & supply-chain resilience: core themes = defense, aerospace, advanced materials, cyber
2. AI deployment & compute revolution: AI/semis at the core; includes robotics
3. Energy security & decarbonization: core themes = next-gen power sources, T&D grid
4. Infrastructure renewal & national resilience: core themes = disaster prevention, port logistics, ICT infrastructure

Takaichi growth strategy: 17 focus areas converge into 6 concepts

Key to valuing Japanese equities under Takaichi: not just budget size



Note: Define Morgan Stanley's 4 Big Themes as the top-level investment concept (L0). L1 = 6 investment narratives derived from L0. L2 = Takaichi 17 strategic areas containing multiple sub-themes L3 (e.g., within L2 defense/space, L3 includes satellite data, unmanned systems, etc.). L3 includes L4, the stock-selection categories. For each L4, screen stocks by business similarity and relevance; totals used for L2 constituent-count analysis. Universe: TSE Prime-listed companies plus Astroscale. Source: Morgan Stanley Research

Long-tenure expectations for Takaichi / faster growth strategy incl. national security

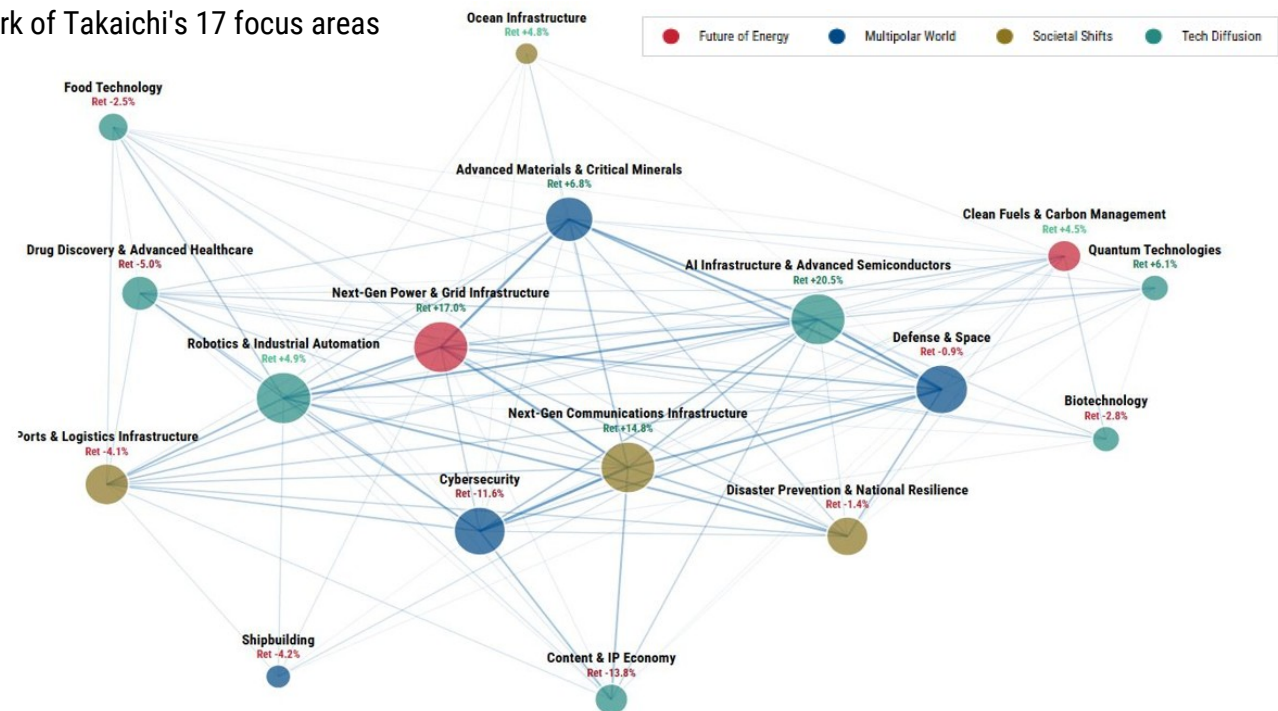
What themes will the equity market price in next?

Takaichi's 17 strategic areas: not standalone themes, but one interconnected ecosystem

- Strongest inflows now: upstream in the theme network - AI infrastructure/advanced semis; next-gen power grid
- Govt strategic capex likely flows: upstream platform tech (AI, power base, materials) -> midstream (defense, robotics, comms) -> downstream (drug discovery, quantum, cyber, content/IP)

Tracing the transmission mechanism of thematic rotation

Network of Takaichi's 17 focus areas



Note: See report for PE/return methodology (Japan Equity Strategy: Japan Equity Grand Strategy under a Takaichi Administration (23 Feb 2026)). Weighted degree = total number of links connecting embedded L3s.
Source: Morgan Stanley Research

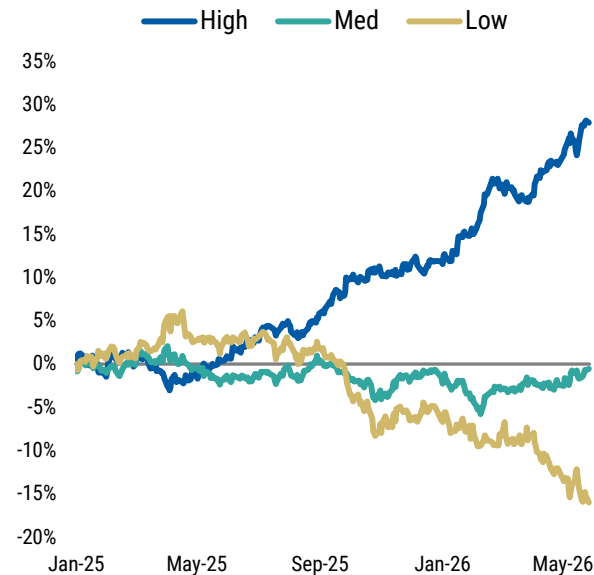
Long-tenure expectations for Takaichi / faster growth strategy incl. national security

Stocks with high affinity to Takaichi's 17 strategic areas outperform TOPIX

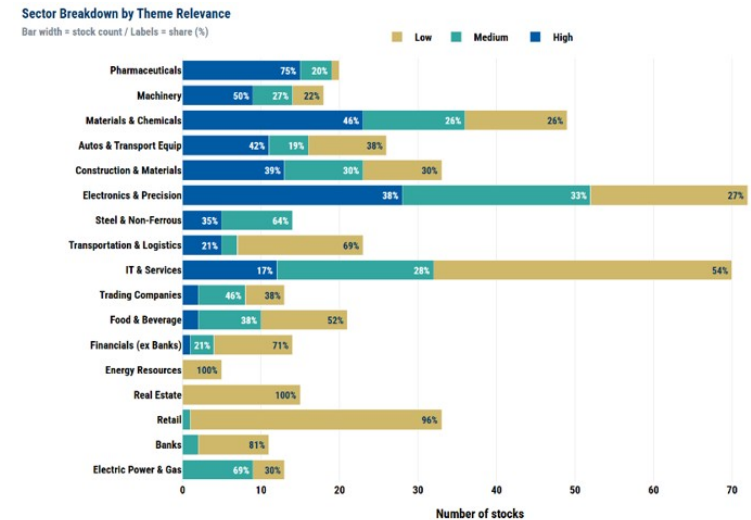
We surveyed our analysts on strength of exposure to Takaichi's 17 strategic areas.

- Since around last autumn's LDP leadership election, high-score stocks have clearly outperformed.
- High-score group skews to names in electrics/precision, materials/chemicals, construction/materials, etc. - beneficiaries of econ security & supply-chain resilience, AI deployment & compute revolution, energy security & decarbonization, and infrastructure renewal & resilience.

Cumulative excess return vs. TOPIX by exposure to Takaichi's 17 strategic areas



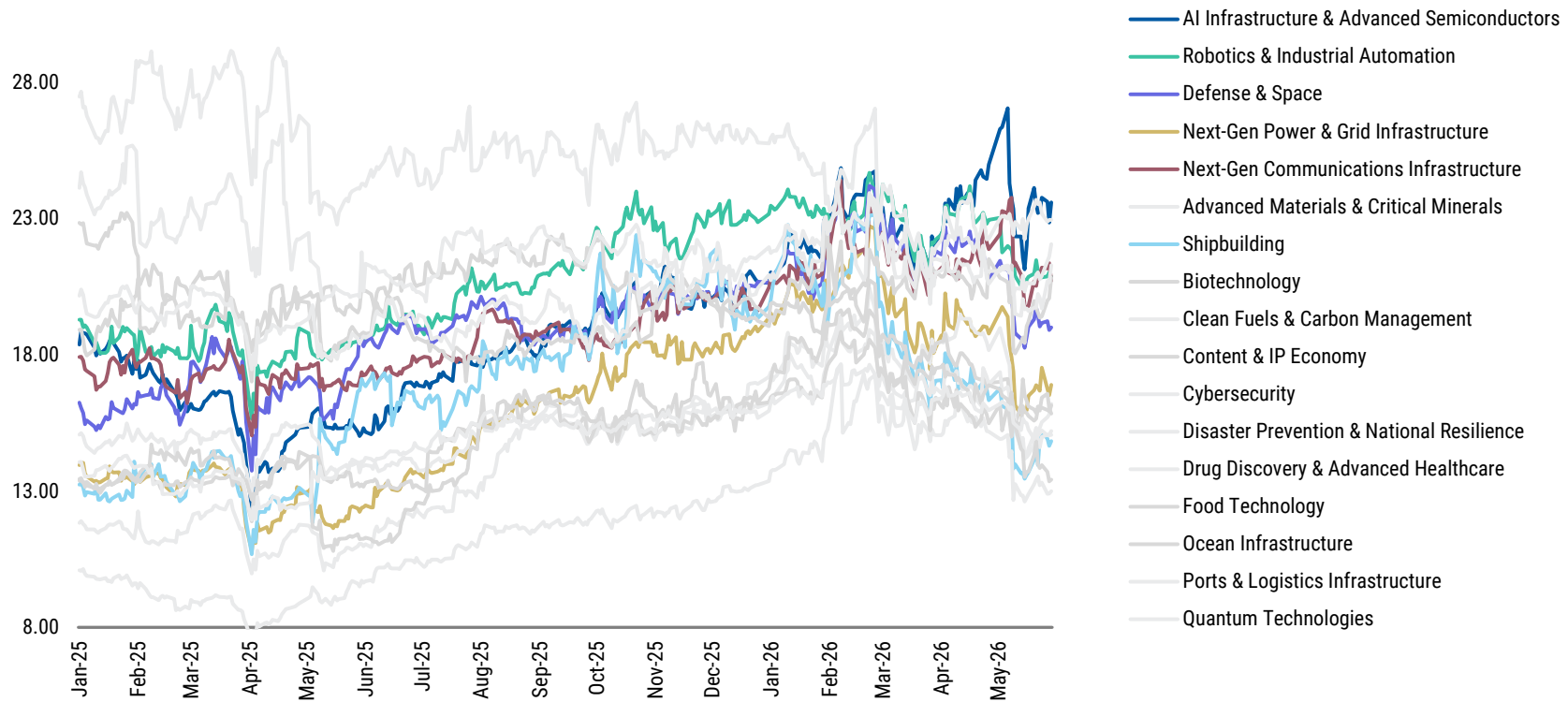
Sector mix by universe and stock counts by sector



Note: Exposure buckets based on our survey responses from each analyst for covered stocks (assessment of each company's business exposure). Source: Bloomberg, Morgan Stanley Research

Long-tenure expectations for Takaichi / faster growth strategy incl. national security

Historical P/E by the 17 focus areas



Note: Stock-level P/E = market cap / forecast net profit (QUICK consensus). Median PE calculated daily for each L2 theme.
Source: Quick Workstation, Morgan Stanley Research

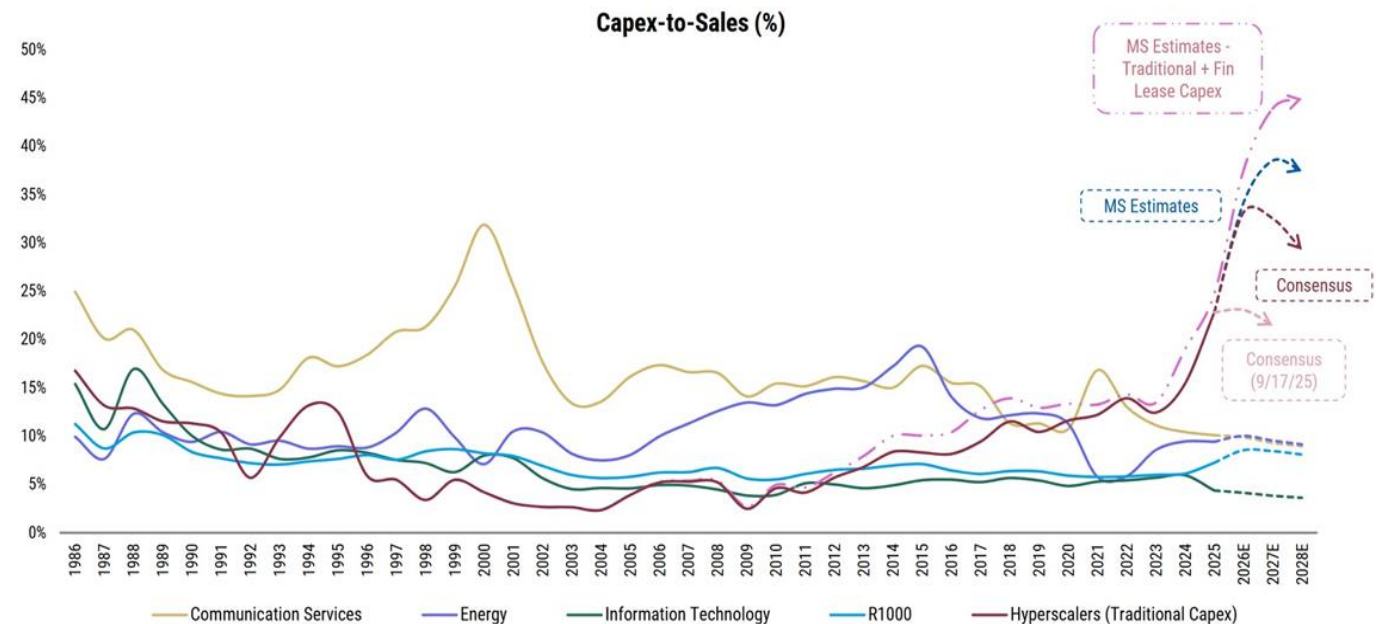
Expectation of a long Takaichi administration / faster growth strategy incl. national security

Current market setup is narrowing, effectively simplifying to 'AI vs. non-AI'.

Still, we continue to be in an acceleration phase of AI-related capex, led by hyperscalers.

- Unlike the IT bubble/dot-com era's pre-profit firms, today's hyperscalers are highly profitable with low leverage.
- What the market is pricing: potential non-linearity in expected returns upon reaching AGI (artificial general intelligence).
- We see the AI theme as likely to persist. But with positioning rapidly crowded, a simple 'just ride it' strategy is risky.

Hyperscalers' capex-to-sales ratio, incl. leases, could reach levels above the dot-com bubble peak.



Note: Hyperscalers include AMZN, GOOGL, META, MSFT, ORCL and are excluded from other sector buckets. Lease (finance lease) estimates cover MSFT and ORCL only. R1000 excludes Real Estate and Financials sectors.

Source: FactSet, Morgan Stanley Research

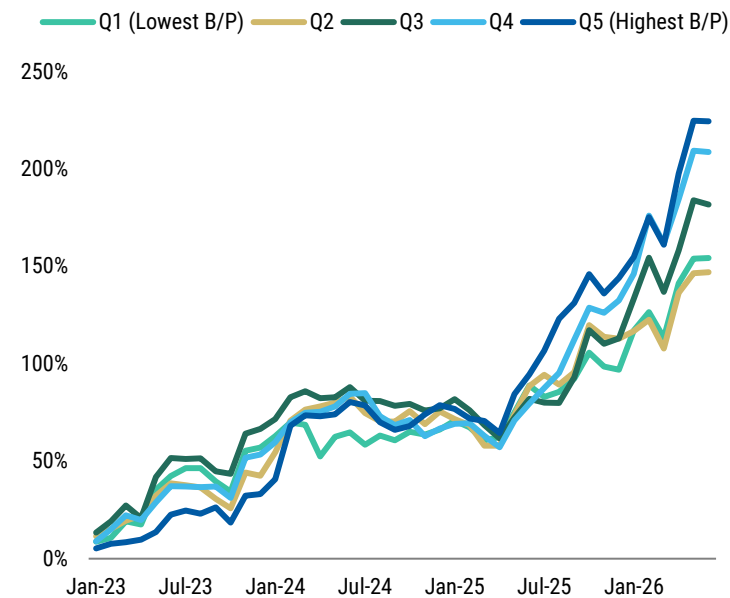
Expectation of a long Takaichi administration / faster growth strategy incl. national security

Rising efficacy of a strategy: sell expensive AI, buy cheap AI

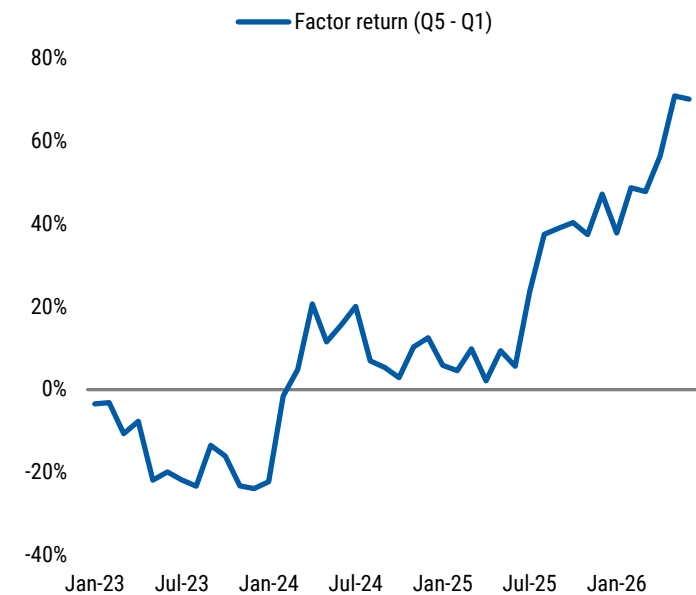
Using a universe of "high AI beta" stocks and sorting into quintiles by valuation (B/P; Book-to-Price), since "Liberation Day" in Apr 2025 the low-valuation group has outperformed the high-valuation group.

Suggests that even within the AI theme, maintaining valuation discipline can be an effective way to secure returns.

High AI-beta universe: B/P quantile returns



High AI-beta universe: B/P factor return



Source: Bloomberg, FactSet, QUICK Workstation, Morgan Stanley Research

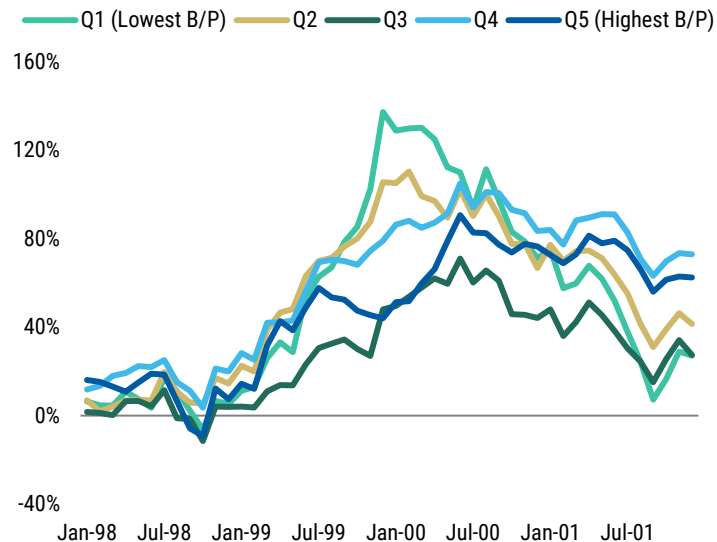
Expectation of a long Takaichi administration / faster growth strategy incl. national security

During the IT bubble, expensive stocks kept rising further

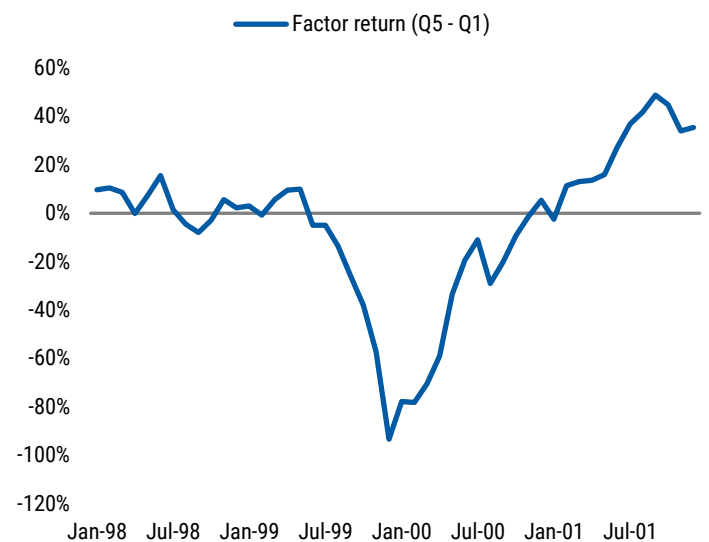
Note: the IT bubble showed a different pattern vs. today. From mid-1999 to late 1999, expensive stocks rose further.

To judge whether the market is "healthy," key is whether valuation discipline holds going forward.

High Nasdaq-beta universe: B/P quantile returns (IT bubble)



High Nasdaq-beta universe: B/P factor return (IT bubble)



Source: Bloomberg, FactSet, QUICK Workstation, Morgan Stanley Research

Expectation of a long Takaichi administration / faster growth strategy incl. national security

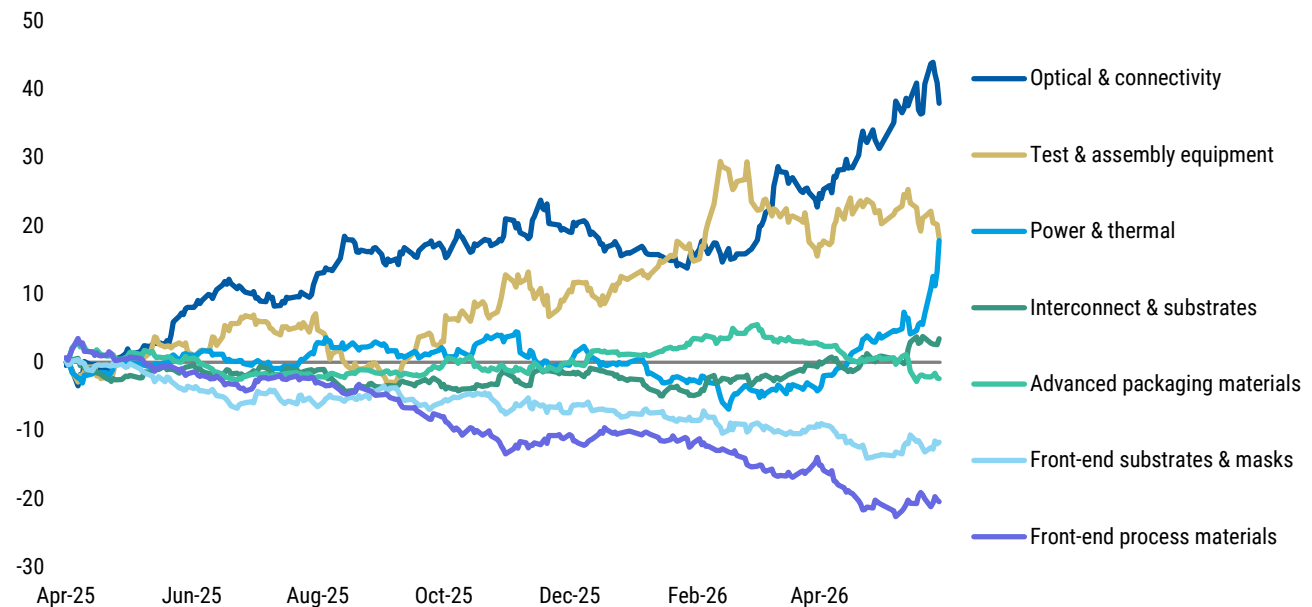
Investor positioning rapidly shifting toward cyclical

By AI core theme, since early 2026 optical & connectivity tech stands out as outperforming.

Recently, power semis and thermal management have rapidly outperformed.

Meanwhile, amid Middle East uncertainty, front-end materials and front-end substrates/masks are underperforming vs. the universe.

AI-related stocks: core-theme performance (cumulative excess return vs. universe since Apr 2025, %)



Note: Using LLM pre-training knowledge and web search, we extracted market-focused AI themes/technologies. After standardizing granularity and grouping, we identified related TSE-listed companies based on business descriptions, LLM pre-training info, and each firm's IR materials/disclosures.

Source: QUICK Workstation, Morgan Stanley Research

Expectation of a long Takaichi administration / faster growth strategy incl. national security

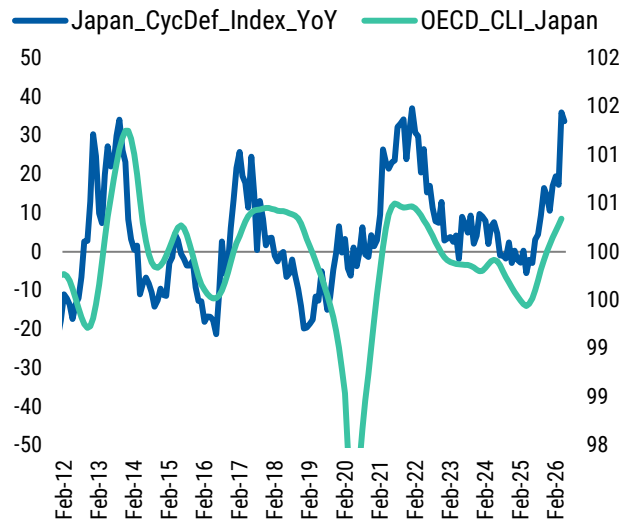
Investor positioning rapidly tilting toward cyclicals

Cyclical/defensive index:
cyclical leadership persists
in both Japan and the US.

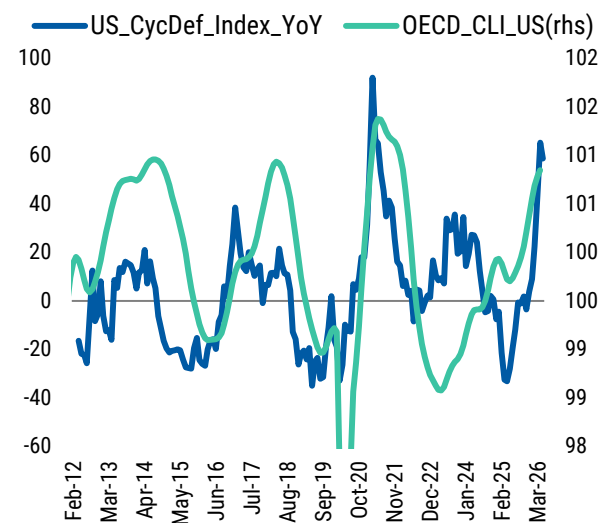
With positioning
increasingly concentrated in
AI-related stocks, any event
that undermines confidence
in AI rally durability could
drive a larger-than-expected
near-term drawdown.

Cyclical/Defensive Index

< Japan >



< US >



Note: Cyclical/defensive indices rank TSE 33 sectors by beta (cyclical vs. defensive), then select top 25% (high beta = cyclical) and bottom 25% (low beta = defensive). Compute avg returns for high- and low-beta groups; take the difference (high beta - low beta) as a long-short spread; cumulate over time (base = 100). Universe: Japan = TSE Prime; US = S&P 1500.

Source: Bloomberg, FactSet, QUICK Workstation, Morgan Stanley Research

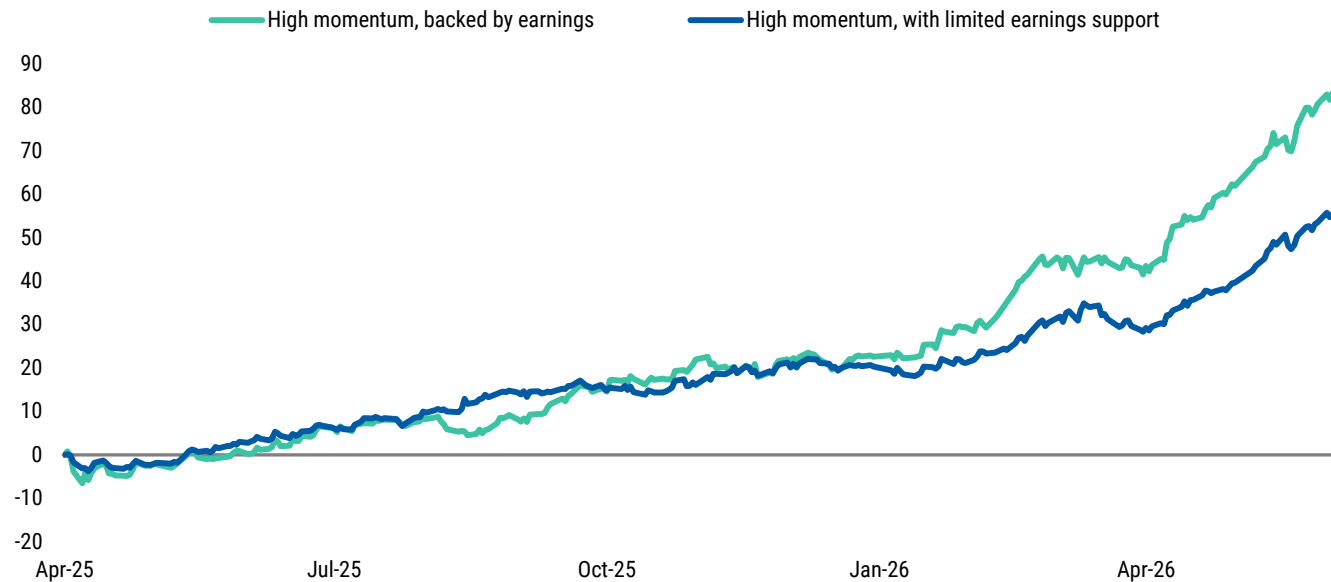
Expectation of a long Takaichi administration / faster growth strategy incl. national security

Rising need for protection against an AI-rally reversal

Our base case remains continuation of the AI rally.

However, pairing it with selective option strategies to prepare for a reversal is, in the current market, one of the most effective risk-management approaches.

Cumulative excess return vs. TOPIX: stocks with earnings support + price momentum vs. theme-led names with limited earnings validation



Note: Classified into 4 quadrants using the AI universe median of 3-month stock price momentum and PE contraction rate ((Trailing PE - FY2 PE)/Trailing PE) as the boundary. Q1 = high momentum/high PE contraction, Q2 = high momentum/low PE contraction, Q3 = low momentum/high PE contraction, Q4 = low momentum/low PE contraction. Cumulative excess return vs. TOPIX for stocks in Q1 and Q2.

Source: QUICK Workstation, Toyo Keizai, Morgan Stanley Research

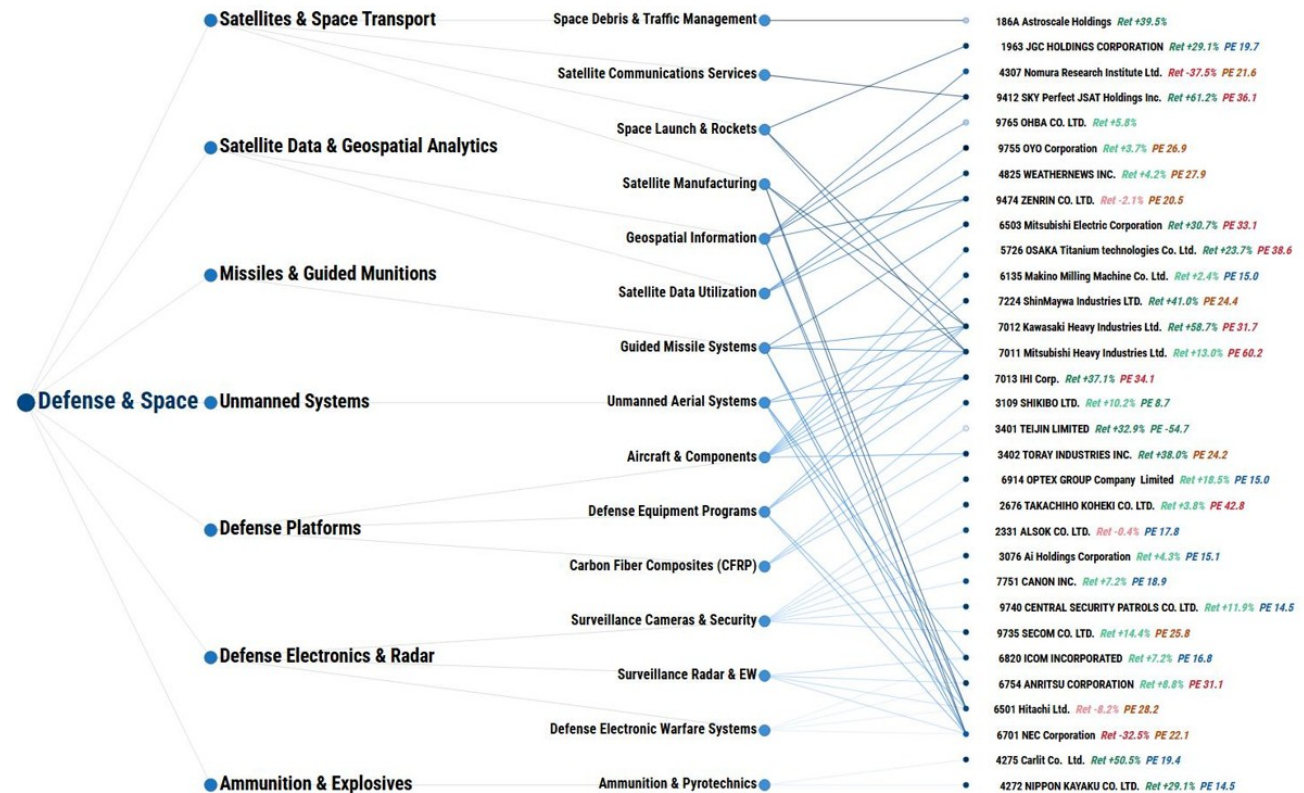
Expectation of a long Takaichi administration / faster growth strategy incl. national security

Economic security and supply-chain resilience

Defense investment focus likely to broaden beyond equipment shortfalls vs. superpowers to building 'space-layer' infrastructure.

Watch for space-related stocks to be re-rated not as a subset of defense, but as a cross-cutting investment domain spanning 17 fields.

Defense / space-related stocks



Source: Bloomberg, Morgan Stanley Research

Expectation of a long Takaichi administration / faster growth strategy incl. national security

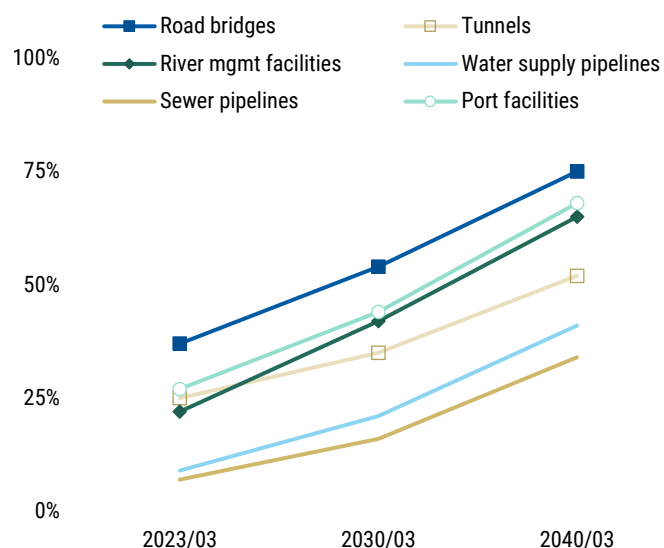
Infrastructure renewal and national resilience

To address intensifying/frequent natural disasters and aging infrastructure, the National Resilience budget (FY2026) is seen exceeding JPY 5tn.

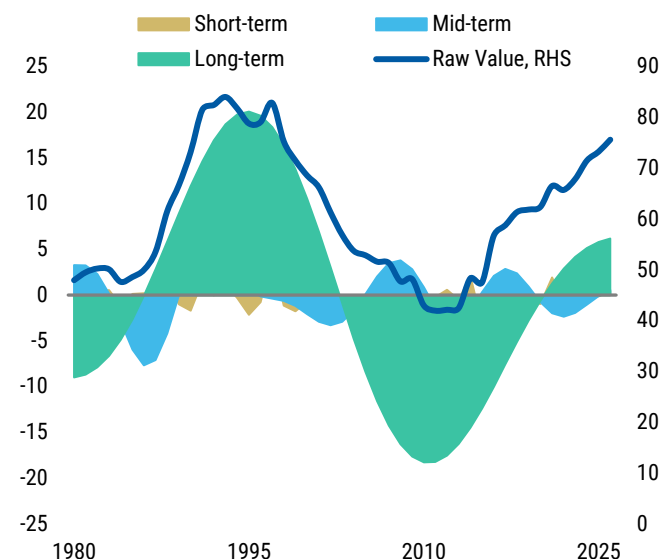
- Maintenance/renewal of aging infrastructure is increasingly required; margin improvement trend likely to continue.
- Our estimated construction cycle suggests the long cycle is entering an expansion phase as rebuild demand rises for structures built mainly in the bubble era, implying long-lasting demand growth.

National resilience: domestic-demand-led theme, directly tied to economic security

Share of social infrastructure aged 50+ years since construction



Construction investment cycle, JPY tn



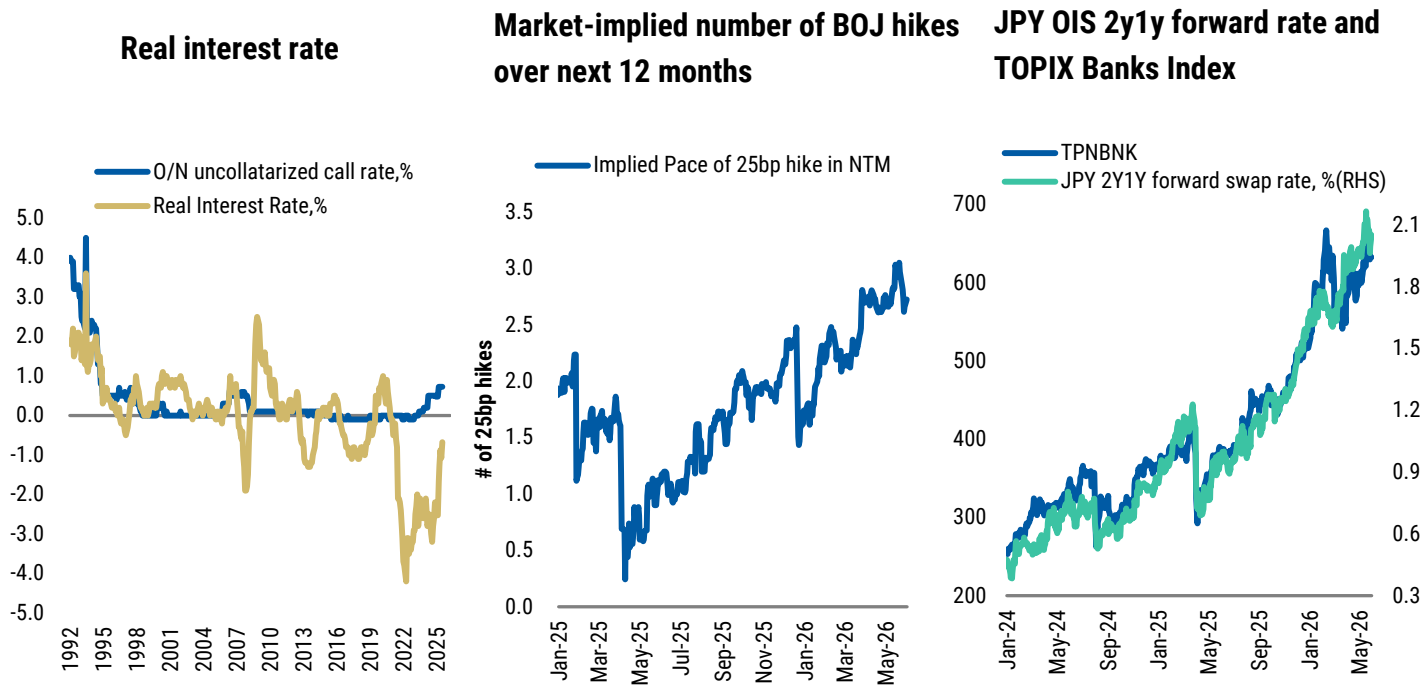
Note: Share of facilities aged 50+ years is calculated excluding facilities with unknown construction year. National facilities covered: weirs, bed sills, locks, sluice gates, pumping stations, drainage pumping stations, culverts/pipes, land gates, management bridges, purification facilities, others (shafts, retarding basins), dams; incl. specified facilities under the Japan Water Agency Act. Prefectures/ordinance-designated cities: weirs (with gates), locks, sluice gates, gated facilities such as culverts/pipes and land gates, pumping stations, drainage pumping stations, dams; incl. partial-affairs unions and port authorities. Totals include facilities with unknown construction year (left chart). Based on MLIT construction outlook; decomposed into cycle components using the CF (Christiano and Fitzgerald) filter (right chart). Source: MLIT, Bloomberg, FactSet, QUICK Workstation, IN Information Center, Morgan Stanley Research

BOJ monetary policy

BOJ hike expectations too aggressive: hard to see bank P/E expanding as hike pace accelerates

Japan Economics team expects BOJ hikes from 0.75% to 1.0% in Jun 2026, and 1.0% to 1.25% in Apr 2027. If underlying inflation persists, policy rate could reach 1.5% by Oct 2027.

- Market already pricing in 2+ hikes over the next 12 months.
- Japan terminal rate rising to c.2%.



Source: Bloomberg, Morgan Stanley Research

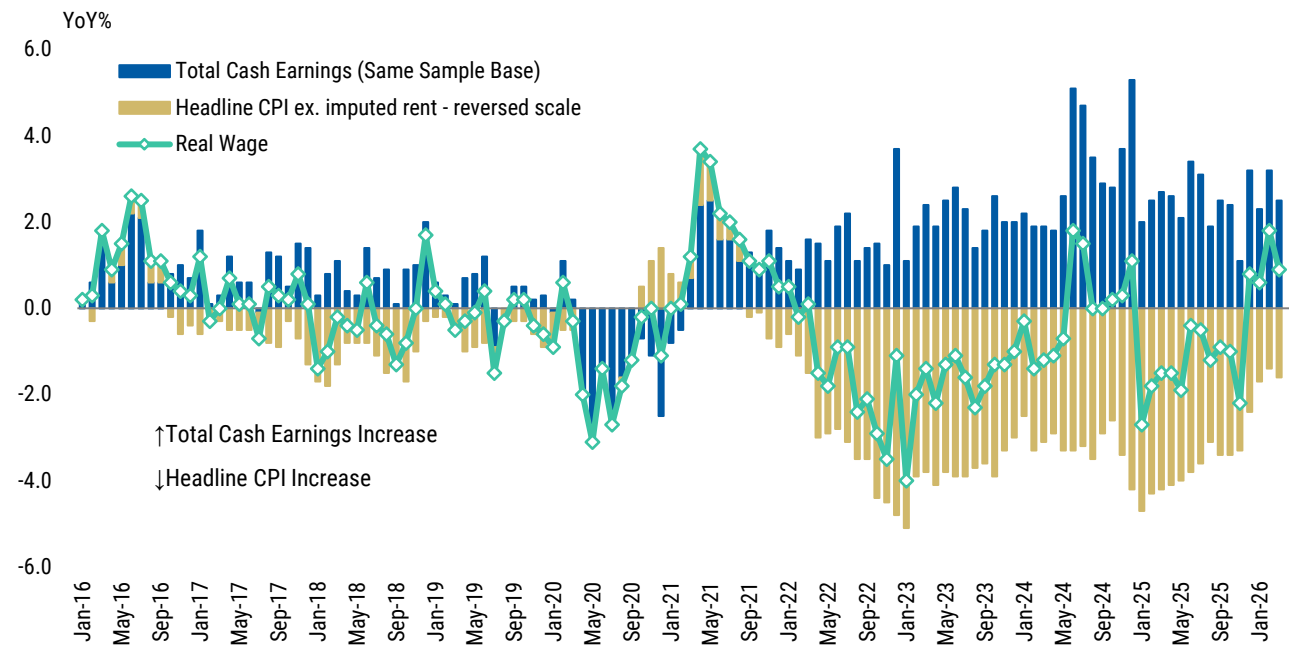
BoJ monetary policy

Real wages back in positive territory: large-cap retailers attractive as a hedge

Our Japan Economics team sees Japan-style core CPI (ex-fresh food) likely exceeding 3% in 2H, risking a temporary pause in private consumption via worsening real wages.

Even so, we see liquid retail names offering some appeal as a hedge vs. positioning concentrated in AI semis.

Real wages (cash earnings total minus national headline CPI)



Source: Bloomberg, Morgan Stanley Research

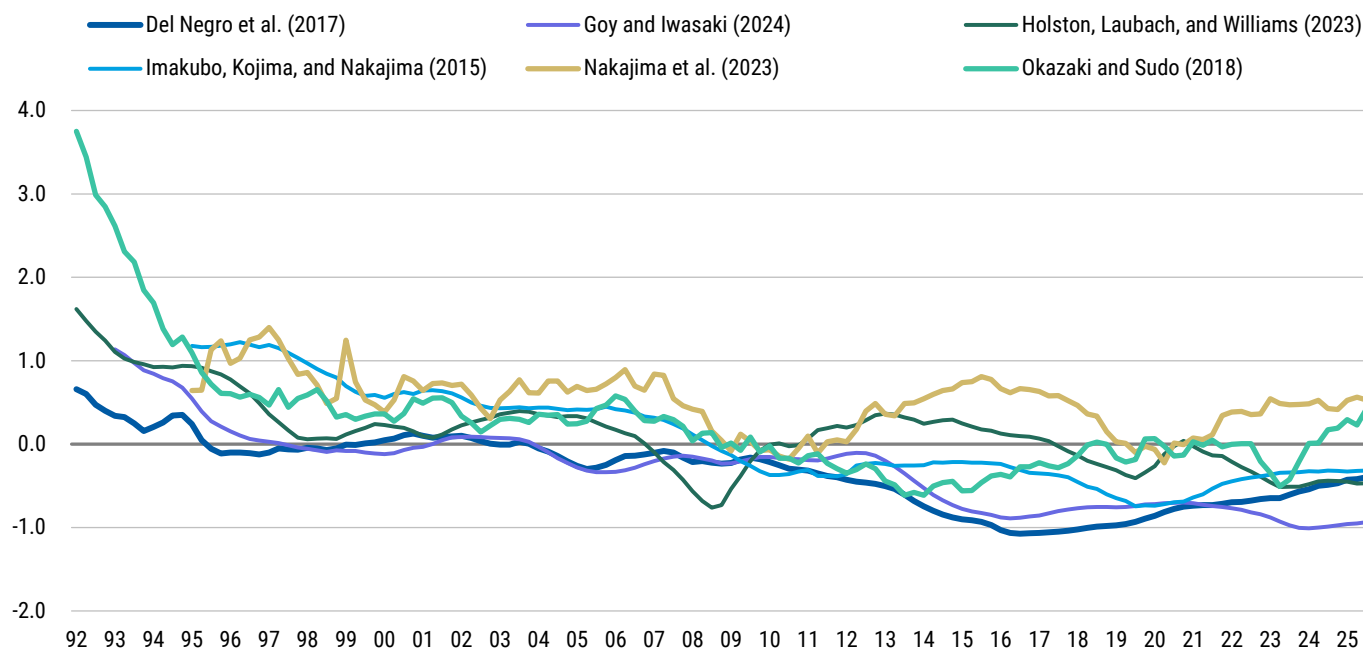
BoJ monetary policy

Policy likely adjusted sequentially based on real-economy response, not a "theoretical equilibrium"

Policy stance judged by real-rate levels and macro data, not the gap vs. neutral rate.

- Wide neutral-rate estimate range raises terminal-rate uncertainty.
- Policy predictability structurally declines.
- Policy adjusted sequentially based on real-economy response, not a "theoretical equilibrium."
- Key reaction function remains: underlying inflation, wage growth, output gap, financial conditions (FX, etc.).

Estimated natural rate of interest



Source: Bank of Japan, Morgan Stanley Research

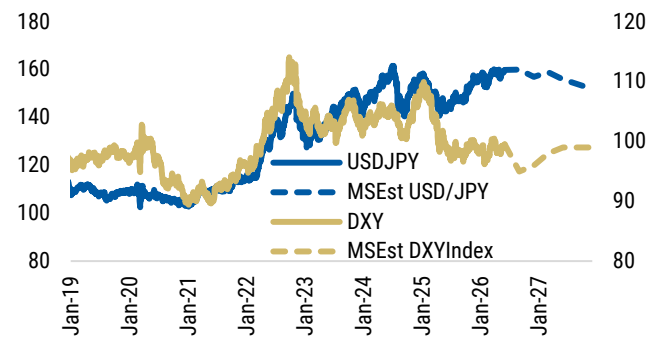
BoJ monetary policy

FX stabilization by authorities aims to ease hike pressure from excessive JPY weakness

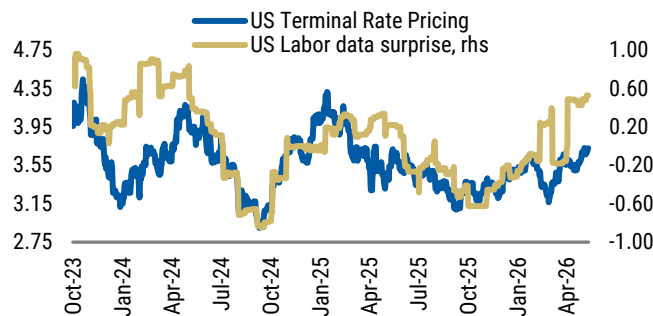
Our FX team expects USD/JPY to stay broadly flat, without major deviation from current levels.

- Authorities' FX stabilization could, near term, be a headwind to export earnings expectations by curbing further JPY weakness.
- However, for offshore investors, intervention that caps excessive JPY weakness can also be positive by stabilizing Japan equities' USD-based performance.

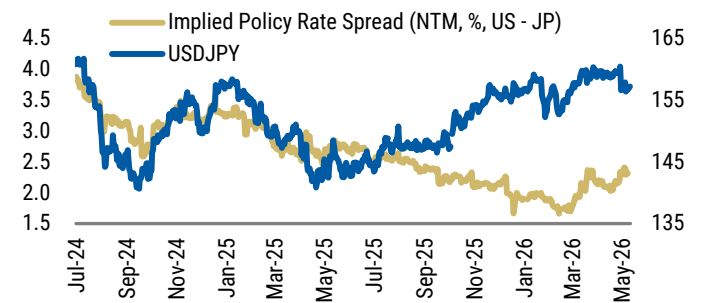
Our FX team's DXY and USDJPY outlook



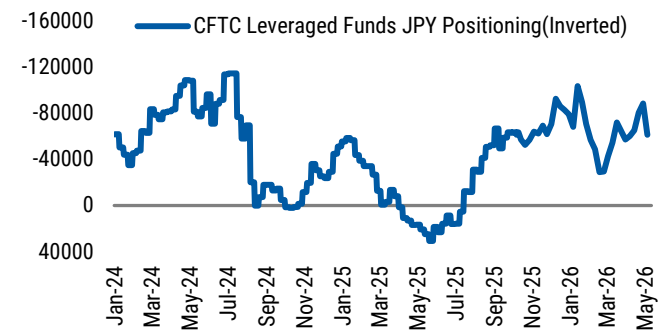
US terminal rate pricing vs. labor market surprises



Market-implied next-12M US-JP policy rate gap and USDJPY



Leveraged funds' JPY positioning



Source: Bloomberg, Morgan Stanley Research

Japan Focus List

Key themes and stocks underpinning our TOPIX bullish view

Focus List includes companies we see as key beneficiaries of AI deployment, national resilience, economic security, robotics, corporate governance reform and refutation

- These themes offer: clearer mid/long-term demand visibility (AI deployment, national resilience, economic security); investment priority less likely to fall due to structural demographics (robotics); more direct link to lower cost of capital (governance reform); higher earnings leverage in nominal growth phases (refutation).

Key themes: AI deployment, national resilience, economic security, robotics, governance reform, refutation

Company Name	Ticker	Rating	TOPIX	Mkt Cap	Date	Total JPY	12M Total	Last Price	Target	Upside to	MS P/E (CY)		MS P/B (CY)	MS ROE (CY)	MS DY (CY)	MS P/S (CY)	Analyst							
											17 Sector	(JPYbn)						added	Returns	Return	Price	TP	2026E	2027E
																							(x)	(x)
				6/2/2026	(dd-mm-yy)	Since Added	Perf.	(JPY)	(JPY)	(%)	(x)	(x)	(x)	(%)	(%)	(x)								
INPEX	1605.T	OW	Energy Res	4,491.3	5-Nov-25	27.7%	89.9%	✓	3,567	3,970	11.3%	12.0x	10.8x	0.9x	7.6%	2.9%	2.2x	Ogino, Reiji						
KAJIMA	1812.T	OW	Const&Mat	2,918.7	15-Jun-23	186.4%	58.9%	✓	5,521	9,500	72.1%	13.9x	11.9x	1.8x	13.8%	3.1%	0.8x	Yagi, Ryo						
PENTA-OCEAN CONSTRUCTION	1893.T	OW	Const&Mat	460.8	5-Nov-25	12.1%	89.9%		1,611	2,400	49.0%	12.0x	11.1x	2.2x	20.0%	3.0%	0.6x	Yagi, Ryo						
SOJITZ	2768.T	EW	Wholesale	1,075.4	13-Jan-26	-7.8%	48.5%		5,121	5,100	-0.4%	8.4x	7.8x	0.9x	12.1%	3.6%	0.4x	Shirakawa, Yu						
RESONAC HOLDINGS	4004.T	OW	Raw Mat&Chem	3,295.9	4-Mar-26	51.6%	465.8%	✓	17,825	22,400	25.7%	37.2x	27.8x	4.8x	14.6%	0.4%	2.6x	Watanabe, Ryoichi						
SUMITOMO ELECTRIC INDUSTRIES	5802.T	EW	Steel&Nonfer	10,333.1	4-Mar-26	31.9%	337.0%	✓	13,015	11,000	-15.5%	34.0x	29.4x	4.0x	12.7%	1.2%	2.2x	Shirakawa, Yu						
EBARA	6361.T	OW	Machinery	2,449.6	5-Nov-25	32.3%	134.4%	✓	5,357	5,800	8.3%	25.5x	19.4x	4.5x	19.8%	1.4%	2.4x	Tamura, Suzune						
PANASONIC HOLDINGS	6752.T	EW	Elec&Prec	8,824.0	5-Nov-25	112.7%	119.9%	✓	3,595	3,900	8.5%	20.7x	17.4x	1.7x	8.5%	1.5%	1.2x	Yoshikawa, Kazuo						
MICRONICS JAPAN	6871.T	OW	Elec&Prec	574.8	11-May-26	3.7%	296.8%	✓	14,360	14,000	-2.5%	29.5x	23.8x	6.9x	28.6%	1.0%	5.9x	Hasegawa, Yoshihito						
FERROTEC	6890.T	OW	Elec&Prec	405.9	11-May-26	-16.6%	210.5%		8,010	7,700	-3.9%	16.6x	13.7x	1.4x	9.1%	2.0%	1.1x	Hasegawa, Yoshihito						
FANUC	6954.T	OW	Elec&Prec	7,458.4	5-Nov-25	53.8%	100.2%	✓	7,593	7,000	-7.8%	37.1x	31.4x	4.1x	11.3%	1.6%	8.1x	Jiang, Lisa						
MURATA MANUFACTURING	6981.T	OW	Elec&Prec	20,081.5	10-Dec-25	202.9%	389.2%	✓	10,230	5,100	-50.1%	65.1x	53.2x	7.1x	11.3%	0.6%	10.0x	Sato, Shoji						
mitsubishi heavy industries	7011.T	OW	Machinery	11,861.7	11-May-26	-19.8%	5.5%		3,516	5,700	62.1%	30.3x	25.0x	3.5x	12.8%	1.2%	2.1x	Kitaura, Takeshi						
SUMITOMO MITSUI FINANCIAL GROU	8316.T	OW	Banks	22,777.4	19-Jan-23	271.8%	66.1%	✓	5,951	6,350	6.7%	13.2x	11.6x	1.3x	10.8%	2.9%	5.2x	Nagasaka, Mia						
mitsui fudosan	8801.T	OW	Real Estate	4,106.3	13-Jan-26	-18.7%	10.9%		1,511	2,500	65.5%	13.6x	12.3x	1.2x	9.1%	2.6%	1.4x	Anegawa, Toshiyuki						

Note: OW = Overweight, EW = Equal-weight. Market data as of June 2, 2026
Source: ModelWare, Morgan Stanley Research

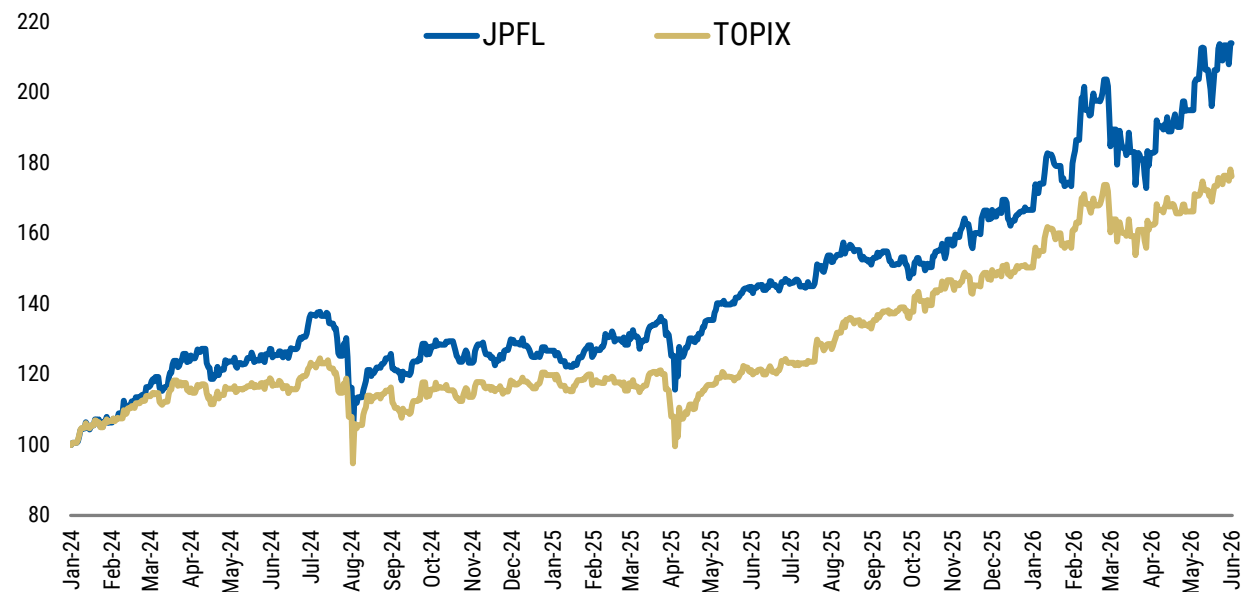
Japan Focus List

Key themes and stocks underpinning our bullish TOPIX view

Focus List includes companies we see as key beneficiaries of AI deployment, national resilience, economic security, robotics, corporate governance reform and reflation

- These themes offer: clearer mid/long-term demand visibility (AI deployment, national resilience, economic security); investment priority less likely to fall due to structural demographics (robotics); more direct link to lower cost of capital (governance reform); higher earnings leverage in nominal growth phases (reflation).

Japan Focus List vs. TOPIX performance



Note: Total return (Jan 4, 2024 = 100, JPY basis, as of June 4, 2026). These returns assume an equally weighted portfolio based on the Focus List, which is rebalanced when stocks are added or removed. The figures shown represent total absolute returns, including dividends, and exclude brokerage commissions. These numbers are unaudited, and past performance is not indicative of future results. Source: Bloomberg, FactSet, Morgan Stanley Research

Progress in corporate governance reform

TSE (Tokyo Stock Exchange)

2015

- Establish Corporate Governance Code

2018

- Revise Corporate Governance Code

2021

- Further revision of Corporate Governance Code
- Announce market segment reorg (Prime, Standard, Growth)

2022

- Market segment reorg
- Strengthen minority shareholder protections at listed firms with controlling shareholders

2023

- Especially for companies with PBR < 1x, require disclosure of concrete action plans to improve capital efficiency and growth expectations

2024

- Disclose list of issuers publishing "measures to realize management mindful of cost of capital and share price"
- Announce policy for periodic TOPIX constituent changes based on liquidity criteria

2025

- Phased abolition of transitional measures for listing maintenance criteria by market segment
- Publish "investor perspective on parent-subsidiary listings, etc."
- Consider tightening Growth Market listing requirements

FSA

2014

- Establish Japan's Stewardship Code
- Publish Ito Report

2015

- Establish Corporate Governance Code

2018

- Revise Corporate Governance Code

2020

- Revise Stewardship Code

2021

- Re-revise Corporate Governance Code

2023

- Proposal on direction of "Action Program to Accelerate Corporate Governance Reform"

2024

- Submit to the Diet bill to partially amend the Financial Instruments and Exchange Act, etc. (clarify scope of "joint holders" under the large shareholding reporting regime)
- Enact partial amendments to the Financial Instruments and Exchange Act, etc.

2025

- Expand disclosure requirements for changing purpose from policy shareholdings to pure investment; revise disclosure in securities reports (disclose, for 5 FYs, names and amounts of shares whose holding purpose was changed to pure investment)

2026

- Revise Corporate Governance Code (around summer)

METI

2014

- Publish Ito Report

2021

- Establish "Practical Guidelines for Corporate Governance Systems (CGS Guidelines)"

2022

- Revise "Practical Guidelines for Corporate Governance Systems (CGS Guidelines)"

2023

- Tax regime for spin-offs
- Promote tax incentives for partial spin-offs
- Publish "Guidelines for Corporate Takeovers"
- Present M&A best practices (ensure shareholder value)
- Redefine "hostile takeovers" as "unsolicited takeovers"
- Specify management/directors' duty to report to the board upon receiving a takeover proposal

2025

- Discuss Companies Act amendments (items under review below)
- Grant treasury shares to employees free of charge as incentives
- Enable use of own shares as consideration in overseas M&A to facilitate smooth corporate reorganizations

Source: TSE, FSA, METI, Morgan Stanley Research

Progress in corporate governance reform

Record highs in cross-shareholding sales, shareholder returns, shareholder proposals, and adoption of stock-based comp plans

Four years have passed since the TSE market restructuring in Apr 2022 - and since various initiatives to drive capital efficiency improvements at Japanese companies began.

Impact evident in record highs: shareholder proposals, adoption of stock-based comp plans, sales of cross-shareholdings, and shareholder returns.



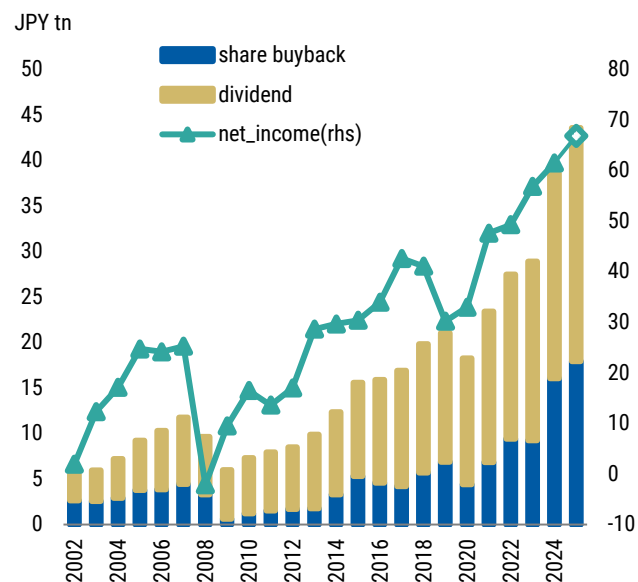
Source: METI, Shoji Homu, QUICK Workstation, Morgan Stanley Research

Progress in corporate governance reform

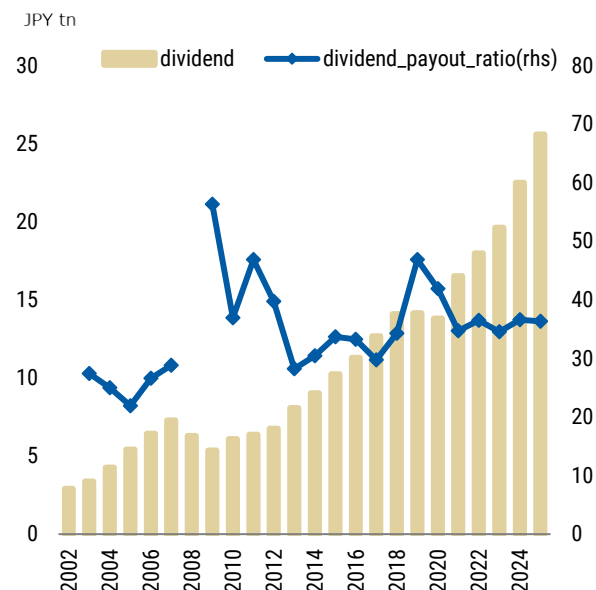
Steadily rising shareholder returns: record expansion continues in both dividends and buybacks

Total shareholder returns (dividends plus share buybacks) by TOPIX companies reached a record high of ¥43.5 trillion in FY2025, up 13% year-on-year.

Total shareholder returns: trend



Total dividends and payout ratio



Note: Left chart covers TOPIX-listed firms. Right chart covers TOPIX-listed firms. No payout ratio shown for loss-making years.
Source: QUICK Workstation, I.N. Information Center, Morgan Stanley Research

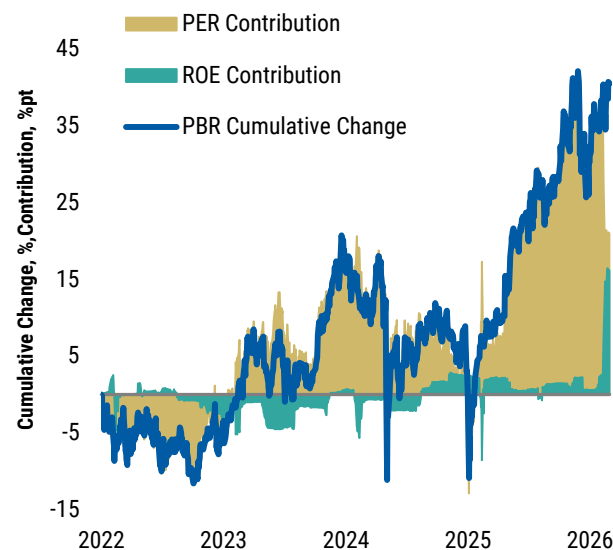
Progress in corporate governance reform

Japanese equities: large room for cost-of-capital compression

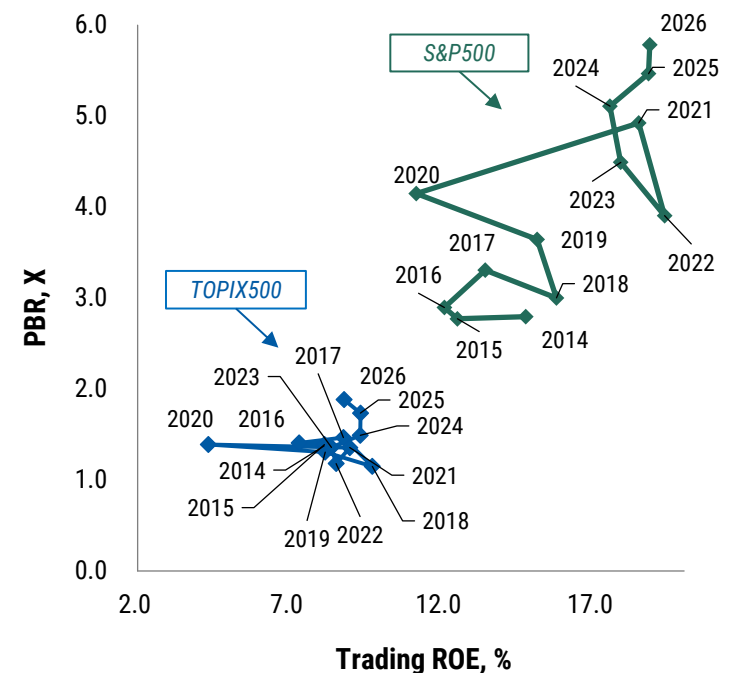
After reforms triggered by the TSE market restructuring in Apr 2022, Prime PBR rose c.35%. Driven by PER expansion; ROE improvement still incomplete.

- We see PER uplift from governance reform largely reflecting greater focus on cost of capital, lowering the high investor-required cost of capital that had long been a penalty.

Cumulative change in PBR for TSE Prime firms (since the Apr 2022 TSE market restructuring)



Historical PBR and ROE: Japan vs. US



Note: PER is mkt-cap weighted avg on 12M forward estimates. PBR is mkt-cap weighted avg. ROE calculated as PBR/PER (left). Right chart calculated for TOPIX500 and S&P500 constituents with PBR and ROE available on Bloomberg.

Source: Bloomberg, FactSet, QUICK Workstation, I.N. Information Center, Morgan Stanley Research

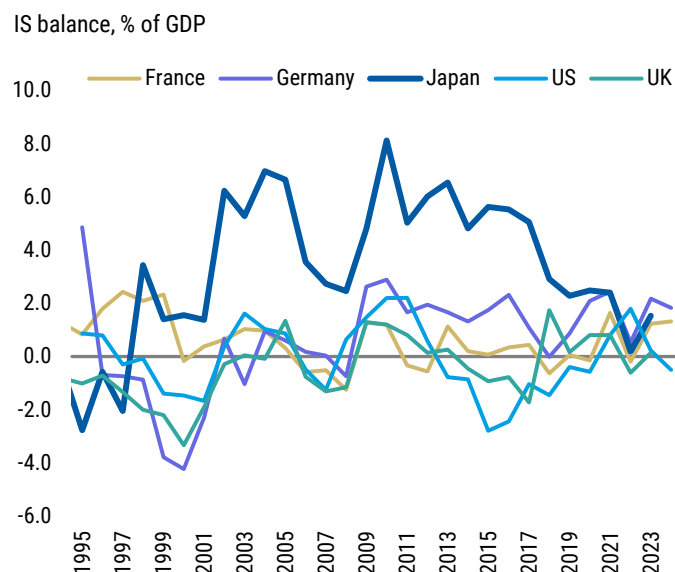
Progress in corporate governance reform

Governance reform moves to execution: accountability for idle cash

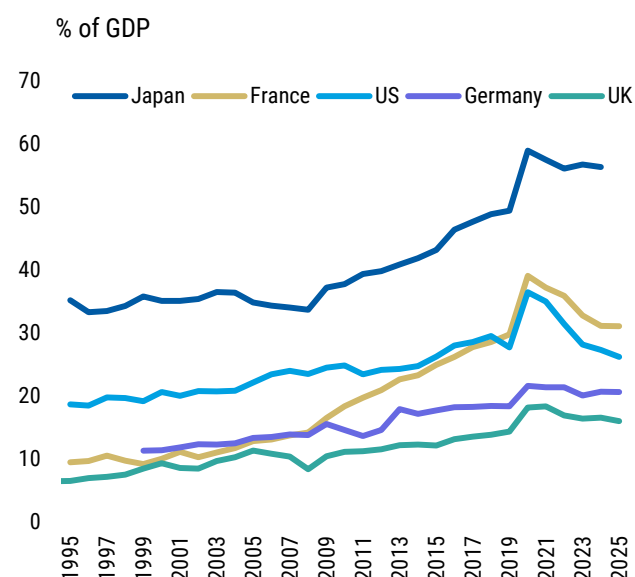
PM Takaichi remains consistently focused on corporate use of cash and deposits

- The FSA plans to revise the Corporate Governance Code in summer 2026.
- The CG Code revision draft released in Apr 2026 calls for effective use of retained earnings (cash & deposits) and tangible assets.

Non-financial corporates: saving-investment balance (IS balance) in major countries



Cross-country comparison: corporate cash & deposits ratio



Note: Cash & deposit balances of non-financial corporates (incl. private & public) as % of GDP (calendar year-end). For Japan only, 2024 uses end-Sep cash & deposits divided by nominal GDP for Jul-Sep (annualized, SA).
Source: Cabinet Office, MOF, BOJ, OECD, Morgan Stanley Research

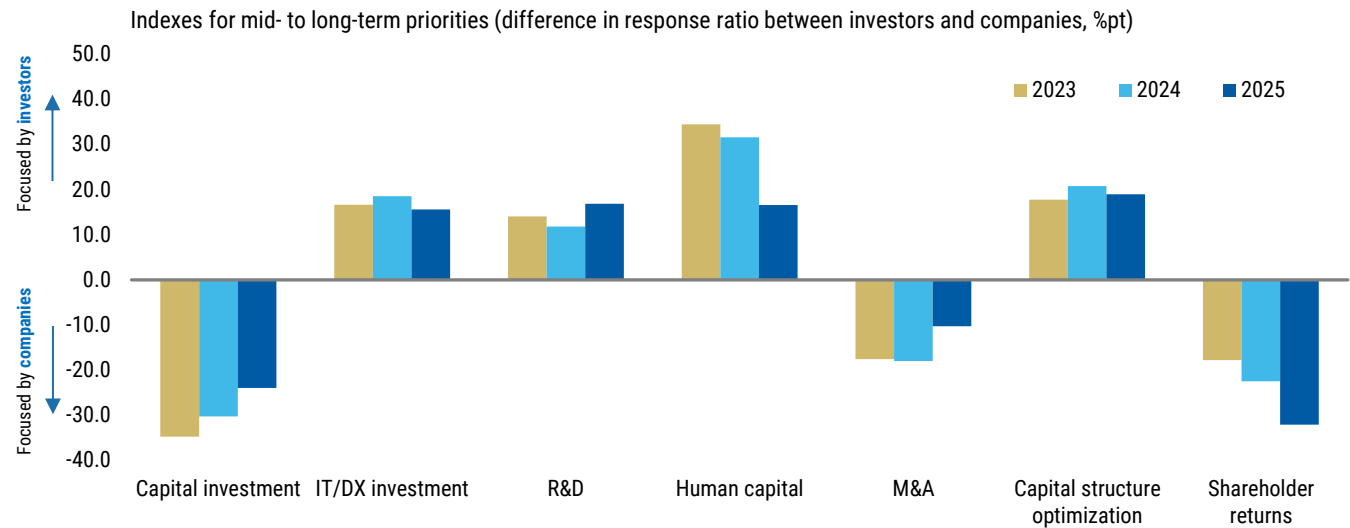
Progress in corporate governance reform

However, investors do not simply demand "maximize payouts" or "step up investment"

Investors generally prioritize sustainable earnings growth (steady improvement in growth rate), strong cash generation, and consistent, rational capital allocation.

For Japanese firms, past M&A has not always translated into higher shareholder value; investor scrutiny of growth investment remains cautious.

Key mid-to-long-term investment & financial priorities



Source: The Life Insurance Association of Japan, "Initiatives to Enhance Equity Value," Morgan Stanley Research

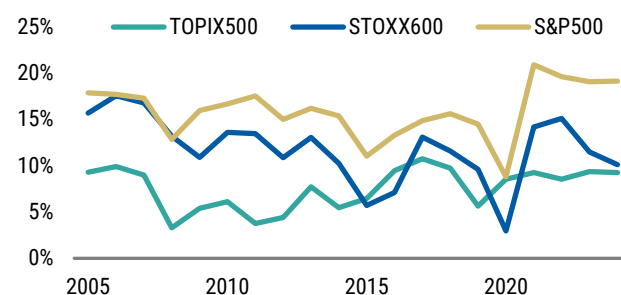
Progress in corporate governance reform

Improving Japan ROE requires pruning low-return businesses and reallocating to high-return areas

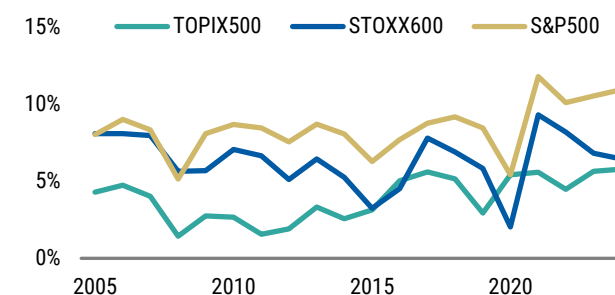
Japan's ROE remains low vs. the US and Europe.

- DuPont breakdown: Japan's net profit margin and asset turnover are relatively low vs. the US/Europe.
- Sustainable ROE improvement requires fundamental action: exit low-return businesses and concentrate resources in high-profit areas.

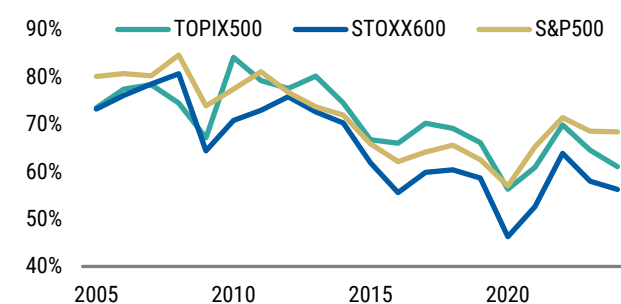
ROE: Japan vs. US vs. Europe



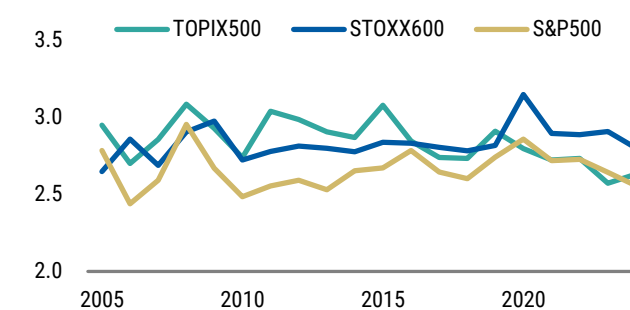
Net profit margin: Japan vs. US vs. Europe



Asset turnover: Japan vs. US vs. Europe



Financial leverage: Japan vs. US vs. Europe



Note: Ex-financials; FY basis.

Source: Bloomberg, FactSet, QUICK Workstation, IN Information Center, Toyo Keizai, Morgan Stanley Research

Progress in corporate governance reform

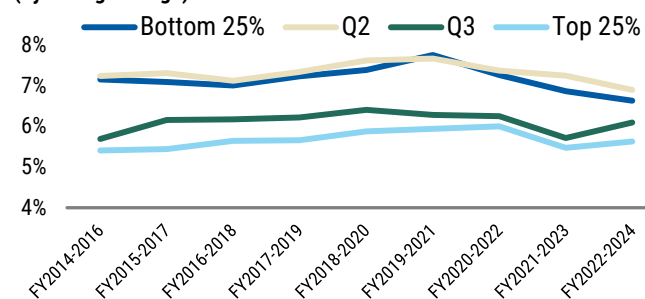
Key to higher enterprise value: not payout level or capex size, but capital allocation quality

Comparing top vs. bottom quartile by EBITDA CAGR, high-growth firms are not investing more in terms of "amount."

- High-EBITDA-growth firms have improved ROIC with margin gains by exiting unprofitable businesses and reallocating capital to higher-return areas.
- As ROIC stays above the cost of capital, ROE has also risen sustainably.
- Despite similar starting points, a wide gap emerged over 10 years, showing that differences in capital allocation and profitability improvement quality drove long-term divergence.

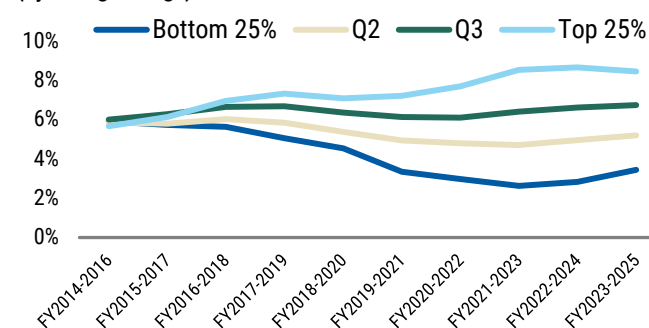
Reinvestment / Sales (EBITDA growth quartiles)

(3y rolling average)



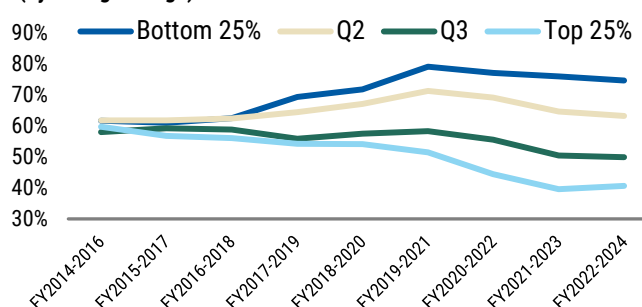
ROIC trend (median, EBITDA growth quartiles)

(3y rolling average)



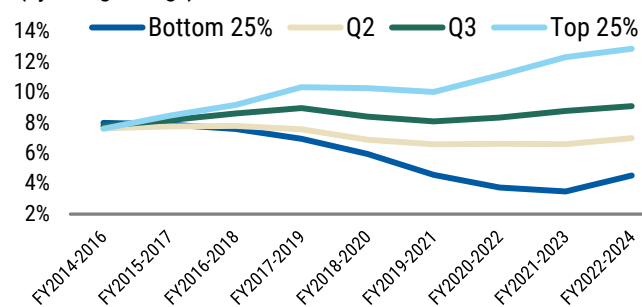
Reinvestment / EBITDA (EBITDA growth quartiles)

(3y rolling average)



ROE trend (median, EBITDA growth quartiles)

(3y rolling average)



Note: EBITDA growth = 10yr CAGR between avg FY14-16 and avg FY22-24. Universe: stocks listed on TSE Prime / former TSE 1st Section during the period

Source: QUICK Workstation, Morgan Stanley Research

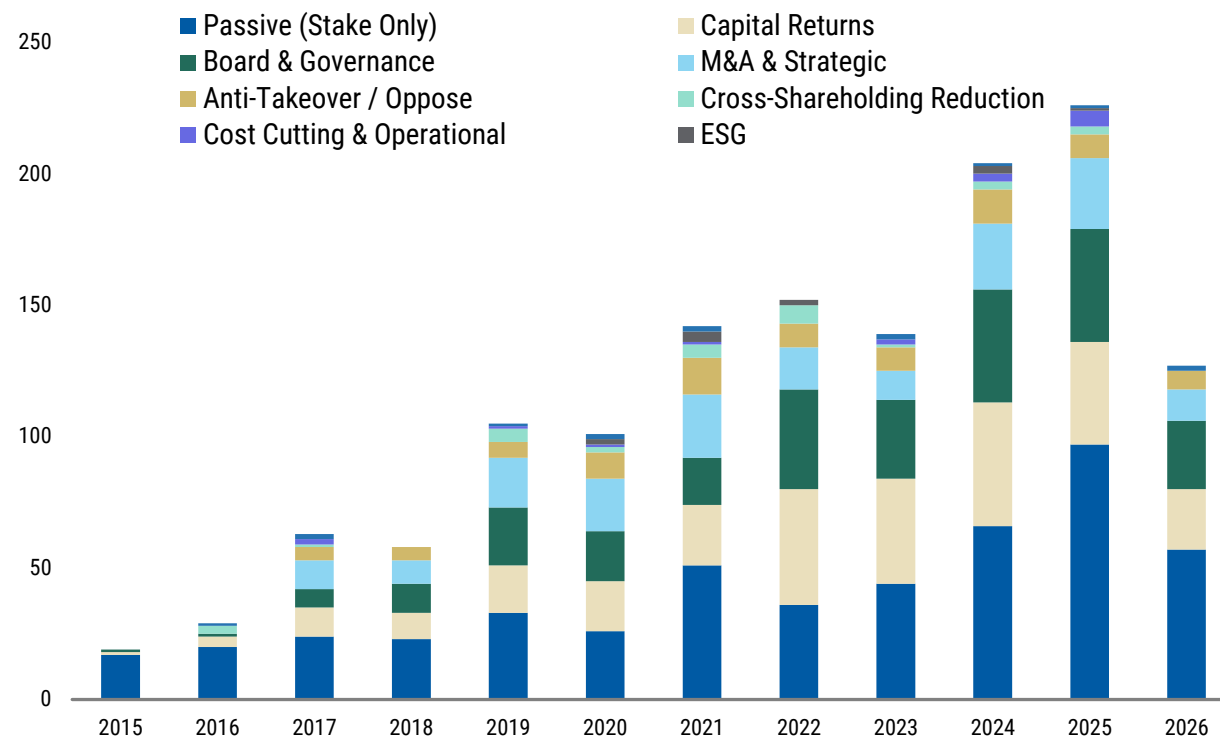
Progress in corporate governance reform

Calls to eliminate Japanese corporates' inefficiencies are only getting louder

As focus on improving Japanese corporates' capital efficiency rises, shareholder proposals likely to hit a record high.

- By objective, activist campaigns increasingly push for capital efficiency/capital structure resets: higher dividends, buybacks, sale of cross-shareholdings, disposal of real estate holdings, etc.

Activist campaigns by objective



Source: Bloomberg, Morgan Stanley Research

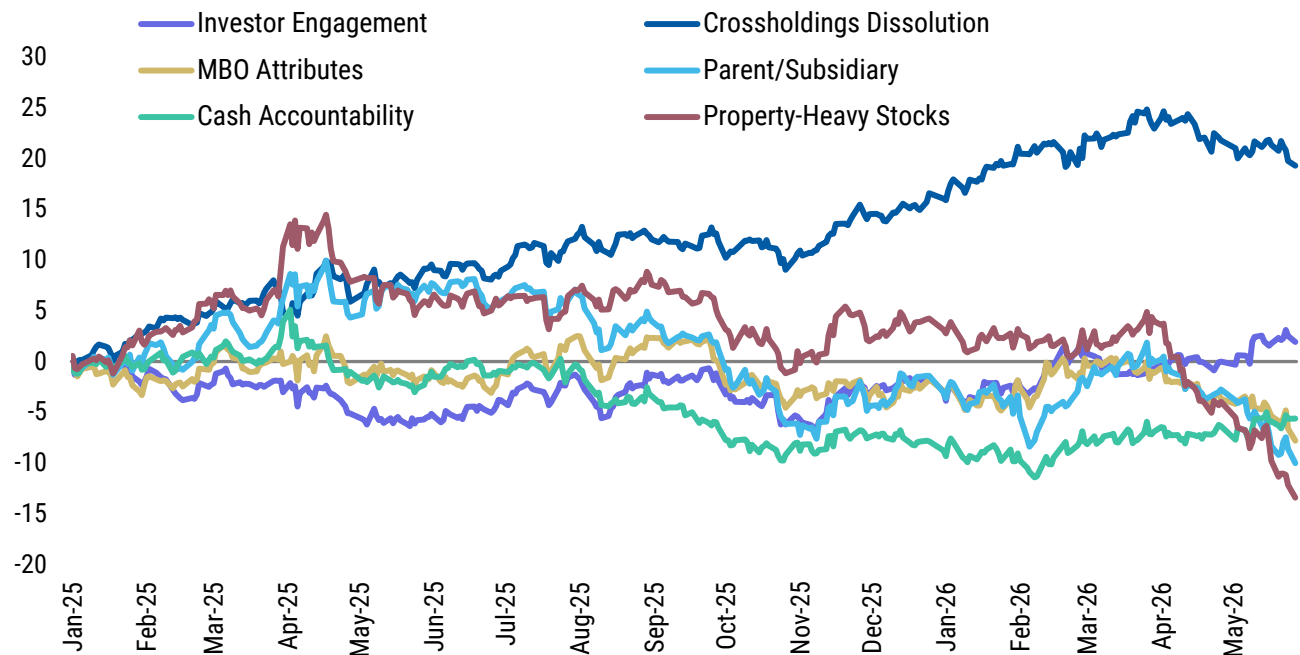
Progress in corporate governance reform

Governance reform: the most important long-duration theme for Japan equities

Our governance screening has underperformed vs. TOPIX, especially since April as value lagged amid the AI rally.

- But into the June AGM season, investor interest may return to names with cross-shareholding unwind optionality, cash-rich balance sheets, and large unrealized real estate gains.
- In that sense, we should be cautious about treating governance-related names uniformly as shorts.

MS Corporate Governance Screening: cumulative excess return vs. TOPIX (YTD, %)



Note: See report (Rising Sun, Roaring Bull – Japan Is Back(16 Nov 2025)).
Source: Bloomberg, Morgan Stanley Research

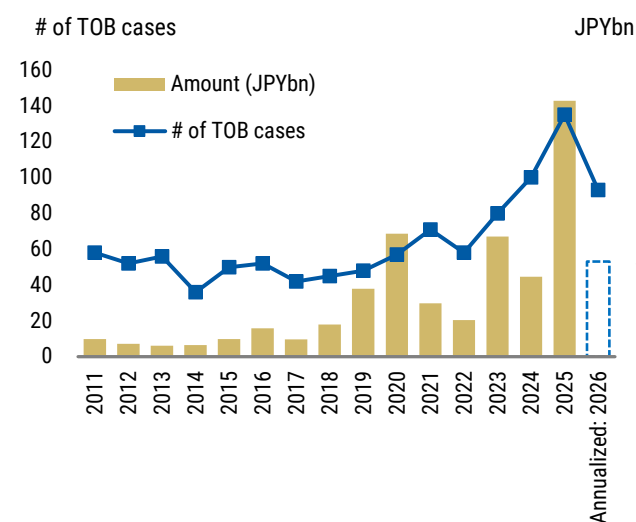
Progress in corporate governance reform

Prepare for the TOB/MBO wave

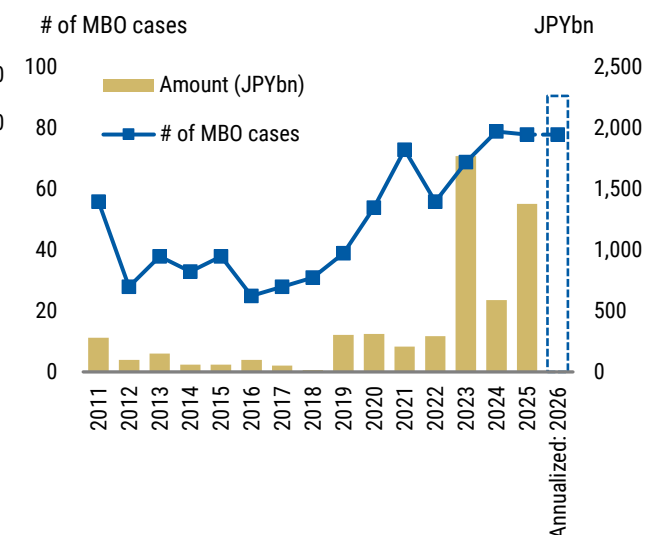
TSE and FSA initiatives effectively raise the cost of being listed for corporates.

- Since the 2023 release of the Takeover Guidelines, TOBs/MBOs have kept rising; corporate/industry restructuring is steadily progressing.

No. of TOBs and value



No. of MBOs and value



Note: Left chart = number of TOBs filed in Japan (sum of M&A, intra-group M&A, acquisitions of subsidiary shares, etc.), by announcement date. Right chart = sum of MBOs with PE partners and other MBOs.

Source: RECOF, Morgan Stanley Research

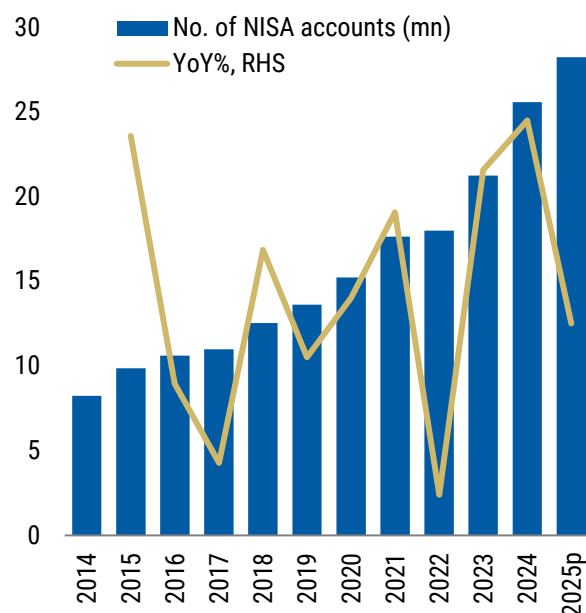
Rising household investment in Japanese equities via NISA

Beginning of the end for households' cash/deposit bias

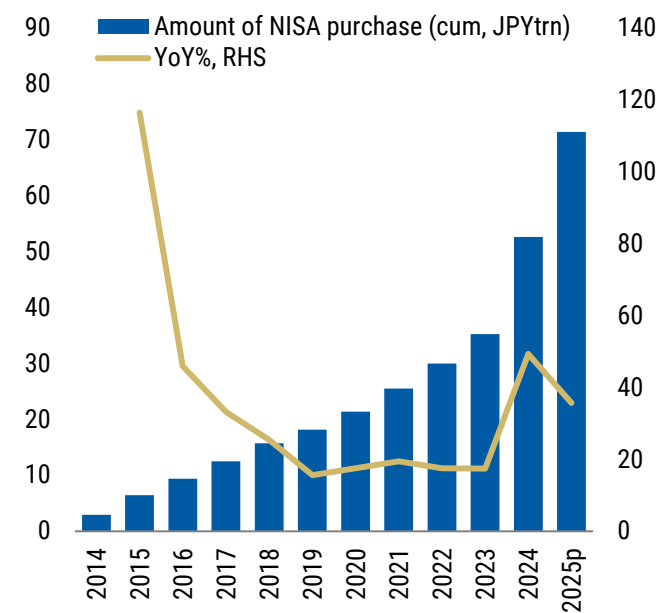
Key takeaway of the new NISA: leveraging (1) sustained, stable inflation and (2) a shift in Japanese corporates' stance on capital efficiency, long-term investing becomes embedded as a household "culture" (i.e., reduced bias toward cash/deposits in household financial assets).

- Under the "Doubling Asset Income Plan," the govt targets 34.0m total NISA accounts and JPY 56tn cumulative purchases by end-2027.
- As of Jun 2025, purchases reached JPY 63tn, beating the target ahead of schedule. Account count still needs further growth to hit the target.

No. of NISA accounts



NISA purchase amount



Note: In the left chart, from end-Dec 2021 to end-Dec 2022, general NISA accounts declined due to deemed closures of accounts opened before My Number adoption whose tax-exempt holding period ended; this technically dampened the YoY growth rate in 2022. 2025p=FSA preliminary.
Source: FSA, Morgan Stanley Research

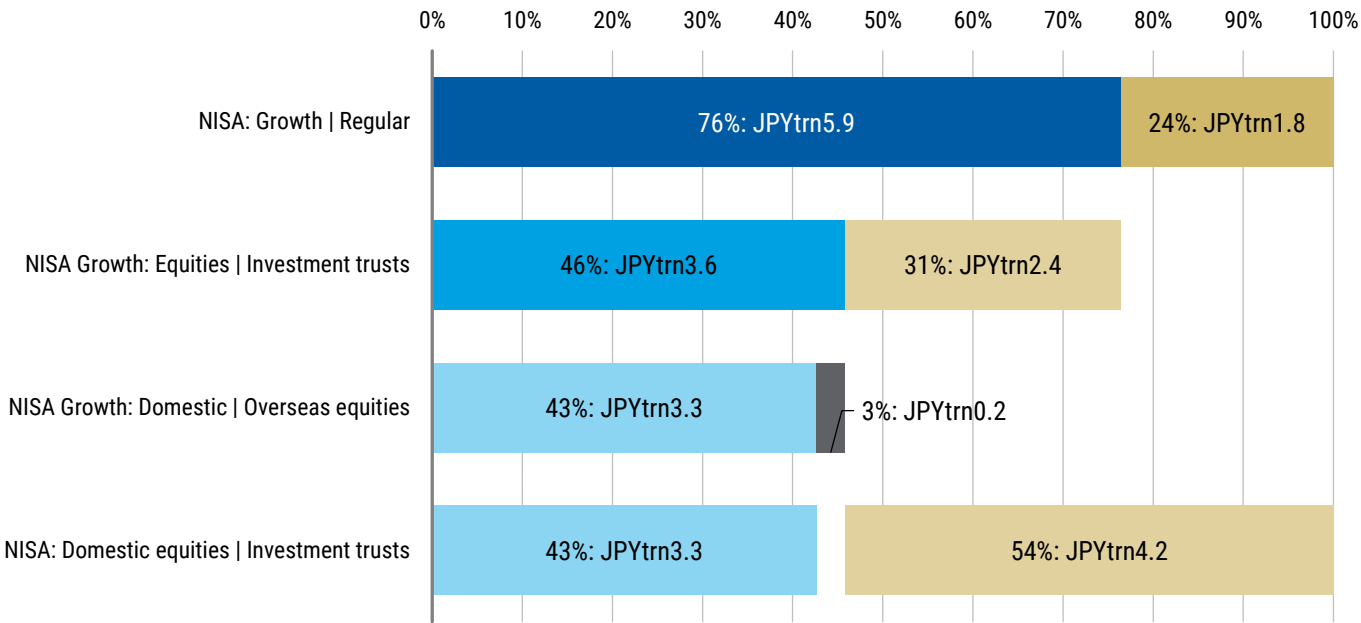
Rising household investment in Japanese equities via NISA

Beginning of the end for households' cash/deposit bias

Purchase patterns via NISA unchanged.

- Breakdown of the Growth Investment and Tsumitate Investment quotas (Mar 2026): c.60% invested in investment trusts, incl. all-country funds.
- Single stocks account for 40% (c.JPY 2.9tn); of this, over 90% (c.JPY 2.9tn) is invested in Japanese equities.

Breakdown of NISA purchases (Mar 2026)



Source: JSDA, Morgan Stanley Research

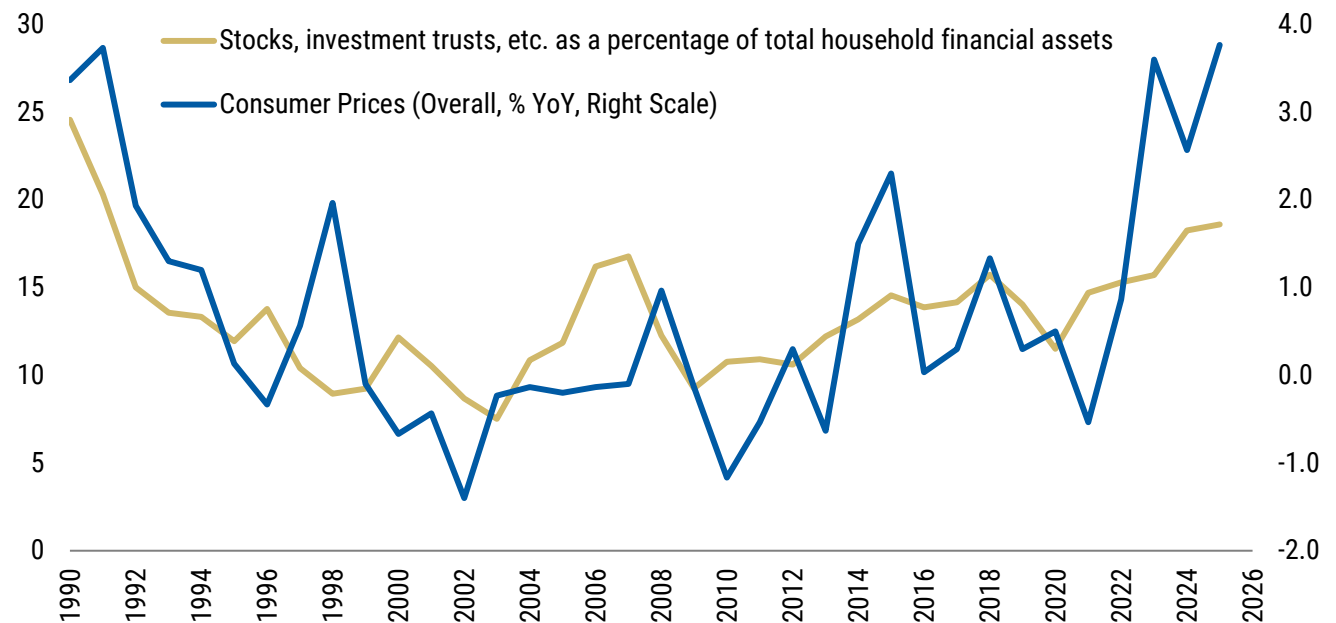
Rising household investment in Japanese equities via NISA

Beginning of the end for households' cash/deposit bias

Balance-sheet reshuffling under inflation is not just a corporate story.

- The share of equities/investment trusts in Japan's household assets has historically tracked inflation closely.

CPI vs. share of equities/investment trusts in household financial assets



Source: INDB, Bank of Japan, Morgan Stanley Research

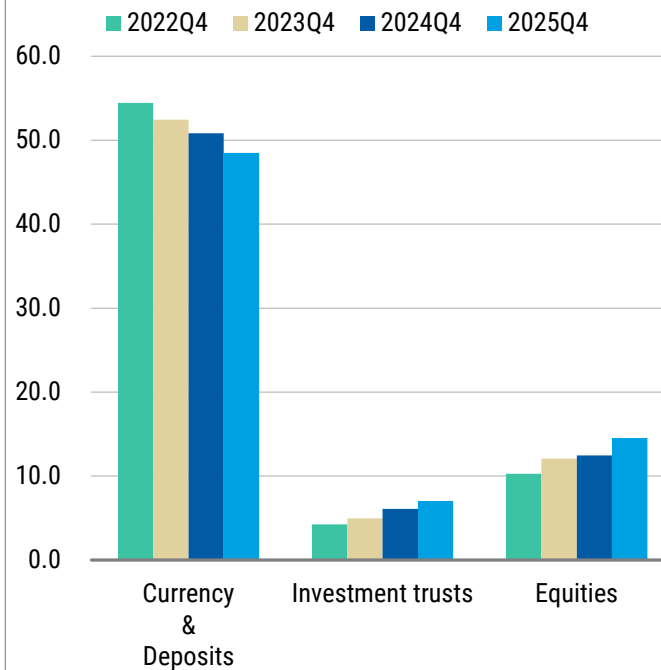
Rising household investment in Japanese equities via NISA

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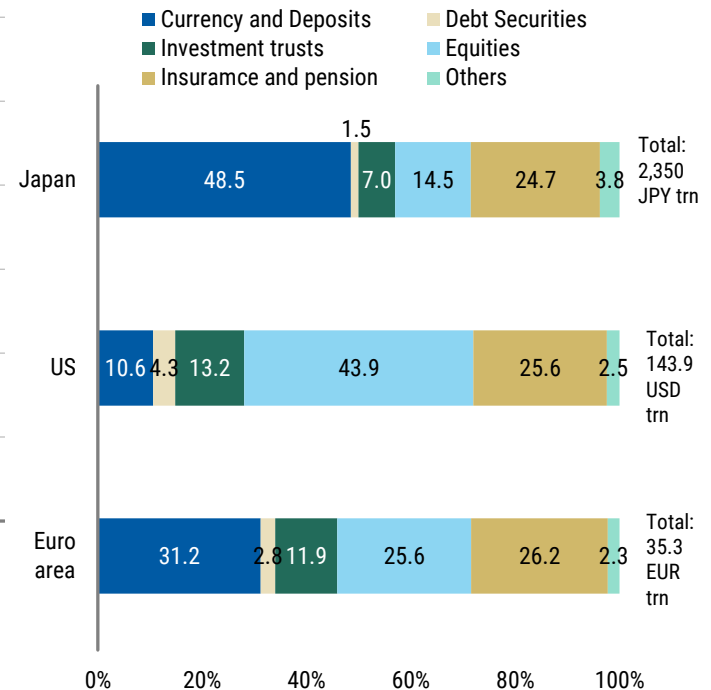
With sustained, stable inflation, if Japanese corporate behavior shifts, the shift of household cash/deposits into Japanese equities could accelerate into next year.

- If household asset allocation moves closer to Europe - equity share rising from 14.5% to 25.6% - potential household equity buying could reach JPY 270tn.
- Equivalent to 20% of the market cap of TSE Prime-listed companies.

Shift in Japan household financial asset allocation



Household financial asset allocation (as of 2025Q4)



Source: INDB, HAVER, Bank of Japan, Morgan Stanley Research

Disclosure Section

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(as of May 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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